

AN APPRAISAL REPORT
OF A

RETAIL/SHOP BUILDING

Located At
170 North 100 West
Provo, Utah

Report #25.060.C

DATE OF VALUATION
November 20, 2025

PREPARED FOR
Mr. Mark Butler
Jones Leasing LLC
1250 West 100 North
Provo, Utah 84601

PREPARED BY
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December 16, 2025

Mr. Mark Butler
Jones Leasing LLC
1250 West 100 North
Provo, Utah

RE: An appraisal report of the "as is" market value of a retail/shop building, located at 170 North, Provo, Utah.

Dear Mr. Butler:

At your request, I have prepared the following appraisal report on the above referenced property. The purpose of the appraisal report is to determine the "as is" market value of the property. The "as is" valuation date is November 20, 2025, which is the last date of personal inspection by the appraiser. The report will be used for determining the market value of this property for internal management purposes.

Per your request, the appraisal report has been prepared in a manner to conform to the Uniform Standards of Professional Appraisal Practice (USPAP) adopted by the Appraisal Standards of the Appraisal Foundation.

The "as is" subject property represents a retail/shop building. The building represents a two-level structure having 22,419 square feet of gross building area. The build-out includes 4,902 square feet (21.9%) of office/retail space and 17,517 square feet (78.1%) of warehouse/shop area. The building is situated within a 27,878 square foot, or 0.64 acre improved site. The subject has a building-to-land ratio of 80.4 percent. This ratio is high for a retail/shop building, but typical for downtown Provo and it is concluded that there is no excess land. Details of the building and site improvements can be found in the body of this report.

Mr. Butler
December 16, 2025
Page 2

The building is owner occupied and the valuation will pertain to the fee simple estate. In the valuation of the fee simple estate, only the Sales Comparison Approach is considered to be applicable, and is sufficient to produce credible results. In a fee simple valuation, the Income Capitalization Approach is a hypothetical valuation. As such, this approach has not been expanded. Because of the age of the subject building, the Cost Approach is not considered to be applicable and has not been expanded. The estimated exposure/marketing time is 12 months.

After careful consideration of the information and analysis contained within this report, I am of the opinion that the "as is" market value of the subject, with fee simple estate property rights, as of November 20, 2025, is:

\$4,730,000

"FOUR MILLION SEVEN HUNDRED THIRTY THOUSAND DOLLARS"

The value estimate is for real estate only and does not include any personal property. This letter of transmittal is not to be misconstrued as an appraisal report, but merely indicates the final value estimate developed in the following report. The following report provides supporting data, assumptions, and justifications for my final value conclusions. The appraisal is made subject to the general assumptions and limiting conditions stated at the end of the report. Please feel free to call if there are any questions.

Respectfully submitted,



Bradford B. Dyreng, MAI

Utah State - Certified General Appraiser License # 6168334-CG00 (Exp. 11/30/27)
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SUMMARY OF IMPORTANT FACTS AND CONCLUSIONS

SUBJECT:	Retail/Shop Building
LOCATION:	170 North 100 West, Provo, Utah
HIGHEST AND BEST USE:	
Land as if Vacant -	Office and/or retail uses.
Property As Improved -	For a continuation of the existing use
SITE:	The improved site area totals 27,878 square feet, or 0.64 acres. The entire site is improved with asphalt paved parking.
IMPROVEMENTS:	An average quality Class "C" and "S" structure having 22,419 square feet of gross building area. The build-out includes 4,902 square feet (21.9%) of office/retail space and 17,517 square feet (78.1%) of warehouse/shop area. The warehouse/shop area is located on two levels, with the upper level having a 10 foot clear height and the lower level having a 10-12 foot clear height.
YEARS CONSTRUCTED:	1928 and 1990, with periodic renovation
EFFECTIVE AGE:	15 years
NEIGHBORHOOD:	Central Business District of Provo
ZONING:	DT2, (Provo Jurisdiction)
TAX ID NUMBER:	04:083:0010
OWNERS OF RECORD:	Jones Leasing LLC
APPRAISED INTEREST:	Fee Simple Estate
VALUATION DATE:	November 20, 2025
DATE OF REPORT:	December 16, 2025

SUMMARY-CONTINUED

VALUATION CONCLUSIONS:

Cost Approach:	\$	n/a
Sales Comparison Approach:	\$	4,730,000
Income Capitalization Approach:	\$	n/a

CONCLUDED FINAL VALUE:	\$	4,730,000
Site/Building Improvements:	\$	4,730,000
Personal Property:	\$	0

EXPOSURE/MARKETING TIME:	Six to twelve months
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TABLE OF CONTENTS

IDENTIFICATION AND SCOPE

IDENTIFICATION OF THE PROPERTY	1
PURPOSE OF THE APPRAISAL	1
SCOPE OF THE APPRAISAL ASSIGNMENT	2
DEFINITION OF MARKET VALUE	3
DEFINITION OF "AS IS" PREMISE	3
PROPERTY RIGHTS APPRAISED	4
DATE OF THE APPRAISAL	4
REPORT COMPLETION DATE.....	4
STATEMENT OF OWNERSHIP	4
HISTORY OF PROPERTY	4

FACTUAL DESCRIPTIONS

NEIGHBORHOOD DATA	5
SITE DESCRIPTION.....	19
ZONING	21
IMPROVEMENT DESCRIPTION	22
ASSESSMENT AND TAXES	24

VALUATION OF THE PROPERTY

HIGHEST AND BEST USE	25
VALUATION PROCESS	27
SALES COMPARISON APPROACH	28
RECONCILIATION AND FINAL VALUE ESTIMATE.....	43
CERTIFICATION OF VALUE	44
GENERAL ASSUMPTIONS	46
GENERAL LIMITING CONDITIONS	47
SPECIAL LIMITING CONDITIONS	48
PHOTOGRAPHS	49
QUALIFICATIONS OF THE APPRAISER	52

ADDENDUM

DEFINITIONS
ECONOMIC SNAPSHOT
ZONING ORDINANCE
FLOOD MAP
LEGAL DESCRIPTION

IDENTIFICATION OF THE PROPERTY

The subject property represents a retail/shop building located at 170 North 100 West, Provo, Utah. The subject is identified by the Utah County Recorder with tax parcel number 04:083:0010. A legal description of this tax parcel, as provided by the Utah County Recorder, can be found in the addendum.

PURPOSE OF THE APPRAISAL

The purpose of the appraisal is to estimate the "as is" market value taking into account the fee simple property rights. The appraisal has been ordered by Mr. Mark Butler with Jones Leasing LLC, in Provo, Utah. The appraisal will be used by Mr. Butler and Jones Leasing LLC for internal management purposes.

SCOPE OF THE APPRAISAL ASSIGNMENT

I have performed an extensive investigation in the local marketplace for valuation of the subject property. My research included, but was not limited to, talking with local property owners, city and county officials, brokers, appraisers, and local business owners. All of the sales data has been verified.

In the valuation of the fee simple estate, only the Sales Comparison Approach is considered to be applicable. Because of the age of the subject building, the Cost Approach is not considered to be applicable. In a fee simple valuation, the Income Capitalization Approach is a hypothetical valuation. As such, this approach has not been expanded.

To report the assignment results, we use the Appraisal Report option of Standards Rule 2-2(a) of the 2024-2025 edition of the Uniform Standards of Professional Appraisal Practice (USPAP). USPAP gives appraisers the flexibility to vary the level of information in an Appraisal Report depending on the intended use and intended users of the appraisal. In this report, the analysis is performed at a moderate level of detail. It summarizes the information analyzed, the appraisal methods employed, and the reasoning that supports the analyses, opinions, and conclusions. It meets or exceeds the former Summary Appraisal Report requirements that were contained in the 2012-2013 edition of USPAP.

Understanding that Utah is a non-disclosure state, information used in this report is as reliable as practical.

DEFINITION OF MARKET VALUE

"MARKET VALUE" as defined in this report is as follows:

"The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and each acting in what they consider their own best interests;
3. A reasonable time is allowed for exposure in the open market;
4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale."¹

DEFINITION OF "AS IS" PREMISE

The definition of "AS IS" as used in this report is based on the following:

"Market Value "as is" on appraisal date means an estimate of the market value of a property in the condition observed upon inspection and as it physically and legally exists without hypothetical conditions, assumptions, or qualifications, as of the date the appraisal is prepared."²

¹ *Federal Register*, Volume 55, Number 163, (August 22, 1990), 34228 and 34229; also quoted in the Definitions Section of the *Uniform Standards of Professional Appraisal Practice*, 1996 ed., and *The Appraisal of Real Estate*, 11th ed. (Chicago: Appraisal Institute, 1996), 23.

² Appraisal Policies and Practices of Insured Institutions and Service Corporations, Federal Home Loan Bank Board, "Final Rule, 12 CFR Parts 563 and 571, December 21, 1987.

PROPERTY RIGHTS APPRAISED

The subject is owner occupied, therefore, the valuation will pertain to the fee simple estate. The definition of a fee simple estate is as follows:

Fee Simple Estate

"Absolute ownership unencumbered by any other interest or estate; subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat."³

DATE OF APPRAISAL

The effective date for the "as is" value of the appraisal is November 20, 2025.

REPORT COMPLETION DATE

The report completion date is December 16, 2025.

STATEMENT OF OWNERSHIP

According to the Utah County Recorder's office, the subject property is currently vested in the name of Jones Leasing LLC.

HISTORY OF THE PROPERTY

The subject has been owned by Jones Leasing LLC or its affiliates for over three years. During this ownership, the subject has been owner occupied.

The aforementioned represents the only know market activity involving the subject in the past three years.

³ Appraisal Institute, *The Appraisal of Real Estate*, 11th ed. (Chicago: Appraisal Institute, 1996), 137.

NEIGHBORHOOD DATA

The neighborhood analysis is an essential and critical section of the appraisal process. It identifies the specific area of analysis in which certain forces and influences will be analyzed in application of the three approaches to value. The forces influencing the neighborhood are very important when considering the immediate and long range use and value of the subject property. A neighborhood is defined as "A group of complementary land uses."⁴ A district is more restrictive in definition and is defined as "A type of neighborhood that is characterized by homogeneous land use."⁵

Geographic Location

Provo is located central within Utah County and is part of the greater Utah County area. Utah County is located 45 miles south of metropolitan Salt Lake City, which is the financial center for the Intermountain Region. The Provo/Orem area represents the financial center of Utah County with Provo representing the Utah County seat.

Utah County is surrounded by mountains forming a valley about 10 miles wide and 20 miles long. The Wasatch Mountains on the east and Utah Lake on the west nearly converge to form the south boundary. The north boundary is considered to be the "point of the mountain" which is located just north of Lehi City.

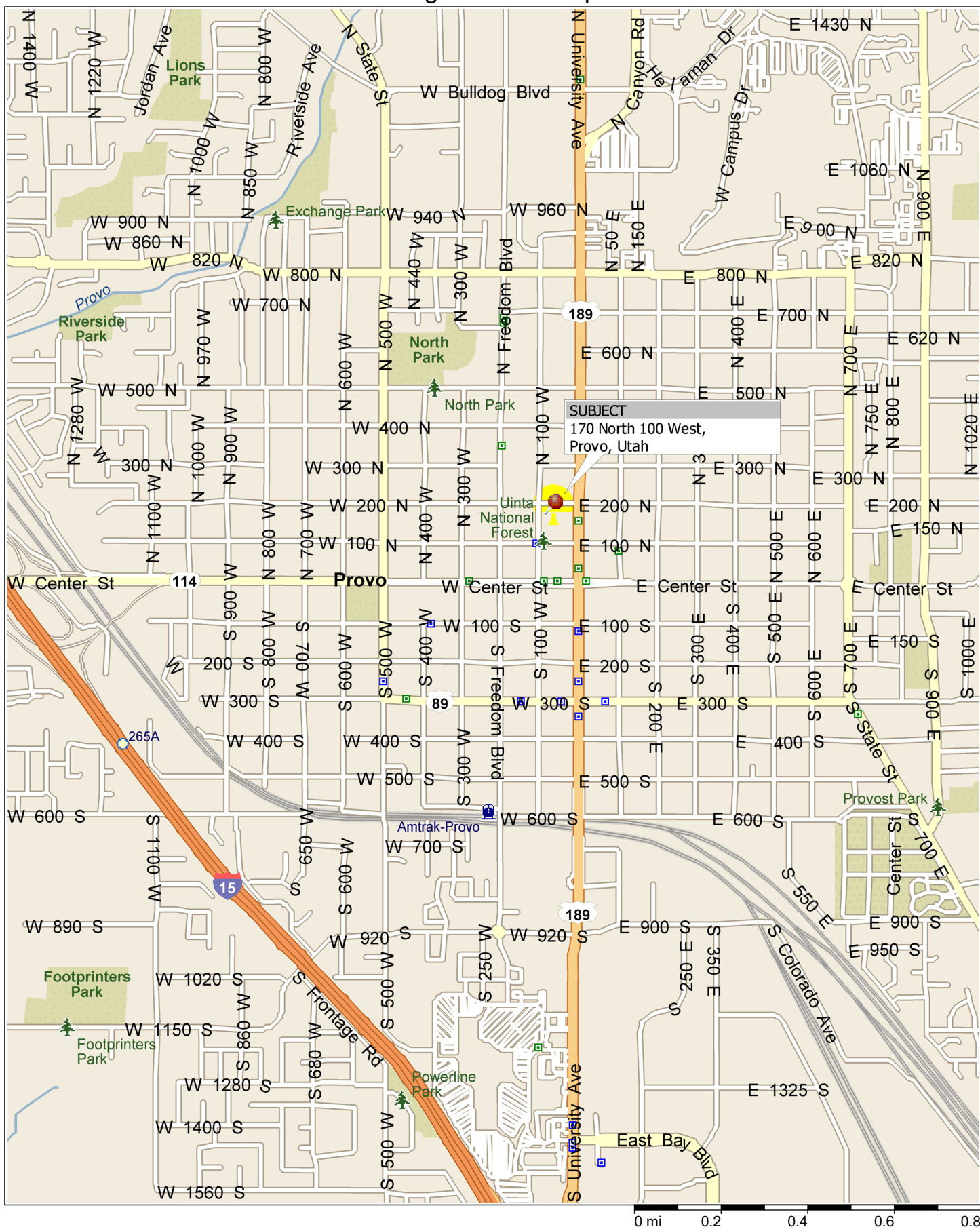
Population

Utah County continues to benefit from strong population growth that comes from both positive attrition and in-migration. The National Census Bureau estimates the Utah County population at 719,714 in 2023, a 38.4 percent increase over 2010 data. Population figures below are for major cities in Utah County for years 2000, 2010, and 2023.

⁴Appraisal Institute, *The Appraisal of Real Estate*, 11th ed., (Chicago: Appraisal Institute, 1996), 189.

⁵Ibid., 189.

Neighborhood Map



AERIAL VIEW



POPULATION DATA - UTAH COUNTY				
Municipality	2000	2010	2023	Average Annual Change 2010 - 2023
Provo	105,166	112,488	113,343	0.05%
Orem	84,324	88,328	95,519	0.58%
Lehi	19,028	47,407	90,227	6.50%
Eagle Mountain	2,825	21,415	56,932	11.85%
Saratoga Springs	1,571	18,084	52,532	13.61%
Spanish Fork	20,246	34,691	45,557	2.23%
American Fork	21,941	26,263	38,549	3.35%
Pleasant Grove	23,468	33,509	37,294	0.81%
Springville	20,424	29,466	35,471	1.46%
Payson	12,790	18,950	24,054	1.92%
Other	71,988	111,137	130,236	1.22%
County Total	368,536	520,049	719,714	2.74%
State of Utah	2,233,000	2,763,885	3,417,734	1.70%
Source: Utah Department of Workforce Services, Labor Market Information				

The overall Utah County market has grown at an average annual rate of 2.74 percent over the past 14 years, consistent with the state wide average. It is projected that by 2030, Utah County will have a population of 853,711, an average growth rate of 2.69 percent. This is substantially higher than the projections for the State of Utah, which show a 2.39 percent growth rate over the same period. This upward trend will place upward pressure on all real estate sectors.

Employment

The Utah County labor market is characterized by a diversified economy, with concentrations in the service and trade industries. This diversification is apparent by the chart presented on the following page for years 2010, 2018, and 2023.

EMPLOYMENT DATA - UTAH COUNTY				
Industry	Jobs 2010	Jobs 2018	Jobs 2023	Percent Employed
Mining	56	133	274	0.09%
Construction	9,675	24,609	29,953	9.76%
Manufacturing	15,667	19,129	23,462	7.64%
Trans/Retail Trade/Utility	29,033	43,892	49,059	15.98%
Information	7,867	12,801	13,717	4.47%
Finance	6,066	8,828	13,294	4.33%
Services	79,714	118,152	140,368	45.72%
Government	26,589	31,313	34,835	11.35%
Total	174,667	258,857	306,985	100.00%
Source: Utah Department of Workforce Services, Labor Market Information				

Total non-agricultural employment has had an average annual increase of 5.41 percent since 2010. Some of the larger employers include Brigham Young University, Intermountain Health Care, IM Flash, NuSkin, Nestle Prepared Foods, Adobe Systems, and DoTerra.

As of July 2025, Utah County and the State of Utah as a whole reported unemployment at 3.3 percent and 3.3 percent, down substantially from the high of July 2009 at 8.0 and 7.7 percent, respectively.

According to the Utah Department of Workforce Services, the 2023 per capita income for Utah County was \$57,619. This is below the Utah State level at \$64,175.

Jurisdiction and Proximity

The subject is located within Provo City jurisdiction. Provo City is located central within Utah County. Provo combined with neighboring Orem City makes up the Provo/Orem metropolitan area. Provo City is the Utah County seat. The Salt Lake City metropolitan area is located 45 miles to the north.

Boundaries and Neighborhood Land Use

The subject is located central within Provo City. Neighborhood boundaries are typically represented by natural or man-made features and are considered to be the central Provo area. Land within the neighborhood has been developed with a variety of commercial and residential uses.

The majority of the commercial development is located along University Avenue and Center Street. Commercial development along these corridors represents a variety of smaller to medium sized office/retail buildings. Within the downtown area, many of the buildings have zero lot lines. The Provo Towne Center Regional Mall and a number of neighborhood shopping centers are located south along University Avenue. Land along both corridors is largely built out with most of the development being older to middle aged, with much of the new construction located south and north along University Avenue. The strong intensity of development is located at the University Avenue/Center Street intersection, with the development becoming less intense when traveling from this point. Other commercial development is scattered throughout as allowed by zoning.

The majority of the industrial development is located to the south of 600 South, between State Street and University Avenue. Development includes a variety of small to medium sized structures that are older to middle aged, with limited amounts of new construction taking place. Provo City recently finished the development of a 100 acre business park and is currently offering lots for sale at incentive prices.

Most of the remaining land is utilized for single and multi-family residential development. Much of the neighborhood represents middle aged homes with some new construction occurring throughout. Home values typically range from \$300,000 to \$600,000, with pride of ownership being average. Multi-family development is scattered throughout as allowed by zoning. Much of the multi-family development supports the demand created by Brigham Young University.

Percent Built-Up

In order to determine the percentage of existing build-up in the neighborhood, a drive-through survey of the area was performed by the appraiser. Based on the survey, the area appears to be approximately 70 to 80 percent built-up. Much of the vacant land is located west within the neighborhood. There are a limited number of large land parcels remaining.

Immediate Neighborhood

The subject is located central to the northwest within Provo's central business district (CBD). Land on all sides of the subject has been developed with a variety of small to medium sized retail and office buildings with a large office building recently completed located directly west of the subject. The large majority of commercial development is middle to older in age. Several new construction projects are occurring in the Provo CBD, with a number of upscale projects located near the subject that are currently under construction and/or recently completed. These projects include a convention center and high rise office and apartment buildings along with an LDS temple. The majority of the neighborhood is built out with a limited number of small sites available.

Access, Transportation, and Traffic Arteries

The general neighborhood is accessed from the north/south via University Avenue and State Street. Access from the east/west is from 300 South, Center Street and Lakeview Parkway. The aforementioned streets represent major collector class arterials. Other secondary streets provide additional access.

These and other streets in the neighborhood are asphalt paved, in average condition, and publicly dedicated/maintained. Interstate 15 is located 1.50 miles west of the subject via Center Street. Neighborhood access is considered to be average.

Development Trends - Single Family Residential

Residential development is occurring as land parcels are being made available; primarily to the west and south within the neighborhood. A history of residential building permits for the Utah County and Provo marketplace is summarized in the following table.

UNIT BUILDING PERMITS - UTAH COUNTY/PROVO			
Year	Utah County	Provo	Provo's Market Share
2017	6,837	242	3.5%
2018	6,715	388	5.8%
2019	7,314	337	4.6%
2020	8,419	675	8.0%
2021	12,430	674	5.4%
2022	8,555	371	4.6%
2023	6,045	165	2.7%
2024	6,630	130	2.0%
2025 - Mar	1,555	0	0.0%
Source: University of Utah BEBR			

With the increase in interest rates in 2022, the residential market softened with stabilization noted in 2023. Although Provo continues to capture a consistent percentage of housing within Utah County, the neighborhood is largely becoming built-up, and residential permits will likely remain consistent with past trends. Clearly demand continues to be stable.

According to the MLS there are 79 home listings in the Provo market, compared to 550 homes sold within the past 12 months. This is an inventory of 1.7 months. In the Utah County market there are 2,092 listings, compared to 6,469 homes sold in the past 12 months. This is an inventory of 3.9 months. An inventory of less than 12 months is considered to be average to good.

According to most home builders, current demand is for homes priced less than \$500,000. The following table summarizes activity for homes listed/sold under \$500,000 and over \$500,000 within the Utah County and Provo marketplace.

HOME INVENTORY BY PRICE RANGE - UTAH COUNTY/ PROVO				
Location	Price Range	Listings	Sold	Inventory (Months)
Utah County	\$1 to \$500,000	277	1,399	2.4
Utah County	\$500,001 plus	1,815	5,070	4.3
Provo	\$1 to \$500,000	22	182	1.5
Provo	\$500,001 plus	37	227	2.0

As can be seen, in Utah County more of the demand is for homes valued greater than \$500,000, with demand in Provo being nearly equal for homes valued at/near \$500,000. A typical rule of thumb for home builders is that a lot needs to be purchased at 30 percent of the home's value. As such, lots valued near \$150,000 will be in most demand.

Although inventory levels continue to be low, inventory is up from the less than one month experienced prior to March of 2022. There has been a limited amount of new vertical construction and horizontal development taking place. As such, inventory is limited for both vacant lots/pads and improved structures.

Prior to the Spring of 2022, there was substantial upward pressure being placed on homes. However, with the increase in interest rates, demand has softened somewhat, with both values and absorption trends being off by 10 to 20 percent from 2022 data, with variances being primarily to location within Utah County and price point. Still, most have indicated values and absorption trends are showing signs of stabilization.

Development Trends - Multi-Family Development

A recent survey of a number of projects in the immediate neighborhood indicated the following data.

COMPARABLE ABSORPTION SUMMARY			
Name/ Location	Unit Size	Unit Price	Monthly Absorb.
Legacy Spanish Fork	1,784 to 1,784 sf	\$400,000 to \$420,000	2.00
Arrowhead Park Payson	1,425 to 1,450 sf	\$350,000 to \$370,000	2.00
Mapleton Village Mapleton	2,300 to 2,350 sf	\$400,000 to \$420,000	4.50
Eagle Point Eagle Mountain	1,789 to 1,843 sf	\$380,000 to \$405,000	3.50
Northshore Saratoga Springs	1,311 to 2,205 sf	\$380,000 to \$465,000	3.50
Jordan Walk Lehi	1,706 to 1,936 sf	\$435,000 to \$460,000	3.00
Songbird Cove Lindon	1,705 to 2,349	\$585,000 to \$645,000	2.50

The data above is a reflection of the current market. Since the Spring of 2022, due to the increase in interest rates, both values and absorption have decreased by a reported 10 to 20 percent. Still, all developers noted that values and absorption have stabilized with some upward pressures noted.

With the high cost of home ownership, an increasing number of families are needing to rent. A survey of these projects indicated rapid absorption with most projects showing absorption trends at over 10 units per month. Further, all managers report continued increases in the rental rates with most reporting vacancy at/or less than 5 percent. Older, less desirable projects will continue to under perform. With the increase in interest rates, it is anticipated that more people will need to rent, pushing both rental and occupancy rates upwards.

Development Trends - Commercial

Within the Provo market, commercial development continues to occur at a moderate rate on a demand basis and primarily for the owner occupant. A history of commercial construction within the Utah County and Provo market is detailed in the following table.

COMMERCIAL CONSTRUCTION - UTAH COUNTY/ PROVO		
Year	Utah County (000)	Provo (000)
2017	\$622,026.6	\$141,012.1
2018	\$523,037.8	\$18,153.4
2019	\$582,391.5	\$5,646.5
2020	\$830,804.7	\$192,462.8
2021	\$833,194.9	\$53,102.7
2022	\$877,996.9	\$214,397.7
2023	\$774,011.5	\$17,828.5
2024	\$668,312.3	\$10,011.5
2025 - March	\$128,391.3	\$9,000.0
Source: University of Utah BEBR		

Given its county seat status, Provo City continues to capture a high percentage of commercial construction within the Utah County market. According to Provo City, construction for 2024 included a number of smaller to large sized projects scattered throughout the city. This development includes larger multi-family projects and a number of Class “A” office buildings.

Property Turnover/Vacancy Rates

All real estate sectors are showing strong demand with upward pressures noted. Details as to industrial vacancy within the Utah County marketplace can be found in the following table.

UTAH COUNTY VACANCY - INDUSTRIAL SPACE 2024 & 2020		
Industrial Sector	Vacancy 2024 - 4th	Vacancy 2020 - 4th
Total	4.1%	1.5%
Source: Commerce CRG		

The industrial market continues to remain stable with vacancy being consistent with 2023 data, which indicated a 4.0 percent vacancy rate. In 2024, there was 2,933,934 square feet of new construction, with 1,485,707 square feet of positive absorption. The forecast for industrial space is for moderate growth, with vacancy and rental rates remaining stable in the short term. Currently, the average asking rate is \$0.95/sf, triple net, with a forecast of modest increases going forward.

Both the office and retail sectors are also beginning to show signs of stabilizing. Details as they pertain to the office and retail sectors are summarized in the following table.

UTAH COUNTY VACANCY - OFFICE/RETAIL SPACE 2024 & 2020		
Office	Available 2024 - 4th	Available 2020 - 4th
Total	13.9%	12.6%
Retail		
Total	2.5%	4.9%
Source: Commerce CRG		

The office market continues to remain stable, with vacancy showing a modest increase from 2023 data, which indicated an 11.2 percent vacancy rate. In 2024, there was 27,475 square feet of new construction and 128,825 square feet of negative absorption, most of which was high quality space located in the north Utah County area. Much of the vacancy comes from high profile buildings. Office space that supports small business continues to have low vacancy rates. Still, vacancy continues to be high and newer high quality space will continue to outperform the market. The average rental rate for office space is \$24.38/sf, full service with a forecast of modest increases into the near term.

The retail sector vacancy continues to show signs of improvement with vacancy being consistent with 2023 data, which indicated a 2.4 percent vacancy rate. In 2024, there was 473,589 square feet of new construction with 173,488 square feet of positive absorption. The average rental rate for retail space is \$26.50/sf, full service with a forecast of modest increases into the near term. Further, sales tax revenues continue to trend upwards, indicating that the market is on an upward trend.

Property Price Range, Rental Rates, and Financing

Within the Provo area, sales of improved industrial sites have been ranging from \$7.00 to \$15.00 per square foot, with sales of improved commercial sites ranging from \$18.00 to \$28.50 per square foot. Depending on size and age, rental rates for office buildings have been ranging from \$10.00 to \$21.50 per square foot, triple net, for retail buildings from \$14.00 to \$38.00 per square foot, triple net and for industrial buildings from \$6.50 to \$14.50 per square foot, triple net.

Financing is available from a number of local and national institutions. Agreements are typically negotiated with 15 to 20 year terms (5 to 7 year call) at rates of 1.0 to 2.0 percent over prime. With the strong economy, banks are actively pursuing loans.

Positive/Negative Influences

The Provo neighborhood continues to develop at moderate rates in all real estate sectors. The subject neighborhood represents an established sector of Provo City, with many of the surrounding developments being middle to older in age, with new construction scattered throughout. The subject benefits from close proximity to Brigham Young University and downtown Provo, with average access to Interstate-15, located 1.5 miles west by way of Center Street. No negative influences were noted.

Community Facilities and Services

General community facilities such as schools, places of worship, hospitals, and recreation centers are found within a close distance to the described neighborhood area. Utah County and Provo City services are considered to be adequate for local businesses and residences. Services provided include street maintenance, garbage pick-up, and police and fire protection.

Availability and Adequacy of Public Utilities

All utilities such as water, sewer, electricity, telephone, natural gas, and storm drainage systems have been provided throughout the neighborhood. The cost of utilities in this neighborhood is competitive with all other locations in Utah County.

Nuisances, Hazards, and Adverse Influences

At this time, no significant detrimental influences exist relative to the neighborhood. An inspection and analysis of the subject neighborhood was performed and no items of external obsolescence were observed. Due to zoning restrictions and other legal considerations, no future detriments are anticipated.

Conformity of Development and Uses

The subject property is zoned for downtown uses, which is a variety of residential, retail and office uses. According to *The Appraisal of Real Estate*, conformity is defined as "the appraisal principle that holds that real property value is created and sustained when the characteristics of a property conform to the demands of its market."⁶ It is necessary to analyze the conformance of the subject with regard to the surrounding uses since the conformance principle has a strong influence on the subject property's value.

Provo City has done a good job in providing areas for commercial, industrial and residential development. The zoning for the subject property conforms well with the existing uses in the neighborhood. No change in zoning is anticipated.

Neighborhood Life Stage

According to *The Appraisal of Real Estate*, neighborhoods evolve through four stages which are as follows:

- "1. Growth - a period during which the neighborhood gains public favor and acceptance.
2. Stability - a period of equilibrium without marked gains or losses.
3. Decline - a period of diminishing demand.
4. Revitalization - a period of renewal, modernization, and increasing demand."⁷

The neighborhood is considered to be in the growth stage of its life cycle. Growth within the commercial and industrial sectors remains stable. Although there has been some recent softness in the residential sector, most report values have leveled off.

⁶ Ibid., 41.

⁷ Ibid., 174.

Neighborhood Conclusion

The general neighborhood of the subject property has well defined boundaries and is located within Provo City jurisdiction. A good zoning plan, as implemented by Provo City, has contributed to excellent conformity of uses. General and immediate access to the subject neighborhood is considered to be adequate.

The neighborhood is considered to be in a growth stage and is currently 70 to 80 percent built-up. With the increase in interest rates, there has been some softness in the residential sector, with recent signs of stabilization noted. Both the commercial and industrial sectors remain stable. Still, newer aged/well located properties will continue to out perform the market. No detrimental conditions are noted. There are no signs of over construction within any given sector.

A snapshot report provided by the Utah Department of Economic Development, as it applies to Utah County, can be found in the addendum of this report. This report shows mid-term trends and graphs which may provide supplementary information to that detailed in the above analysis.

SITE DESCRIPTION

Dimensions, Shape and Area

According to the plat map, the site is mostly rectangular in shape. The legal description indicates that the site is 27,878 square feet, or 0.64 acres in size.

Currently, the 22,419 square feet of building area is situated southwest within the overall site area. The building-to-land ratio is 80.4 percent (22,419 square foot gross building area divided by 27,878 square foot site). This ratio is high by comparison to other retail/shop facilities. Still, given the two story nature of the building and the downtown location, it is not considered to be atypical. A copy of the subject plat and site plan can be found on the following pages.

Topography and Drainage

Currently, the improved site has level topography and is to street grade. The natural drainage appears to be in a north to south direction. An on-site storm drainage system is in place and curb/gutter are located along the street frontage. Drainage appears to be adequate with no signs of ponding and/or erosion. According to the FEMA Flood Hazard Publication Map #49019C0531F, published June 19, 2020, the subject property is located in Zone X, which is not a flood hazard area. A flood plain map can be found in the addendum.

Soil and Subsoil

No actual soil samples were made for this appraisal. Based on existing and surrounding development, the soil appears to have adequate load capacity. Further, physical inspection showed no signs of hazardous waste. The value estimate of this report is based on these conclusions.

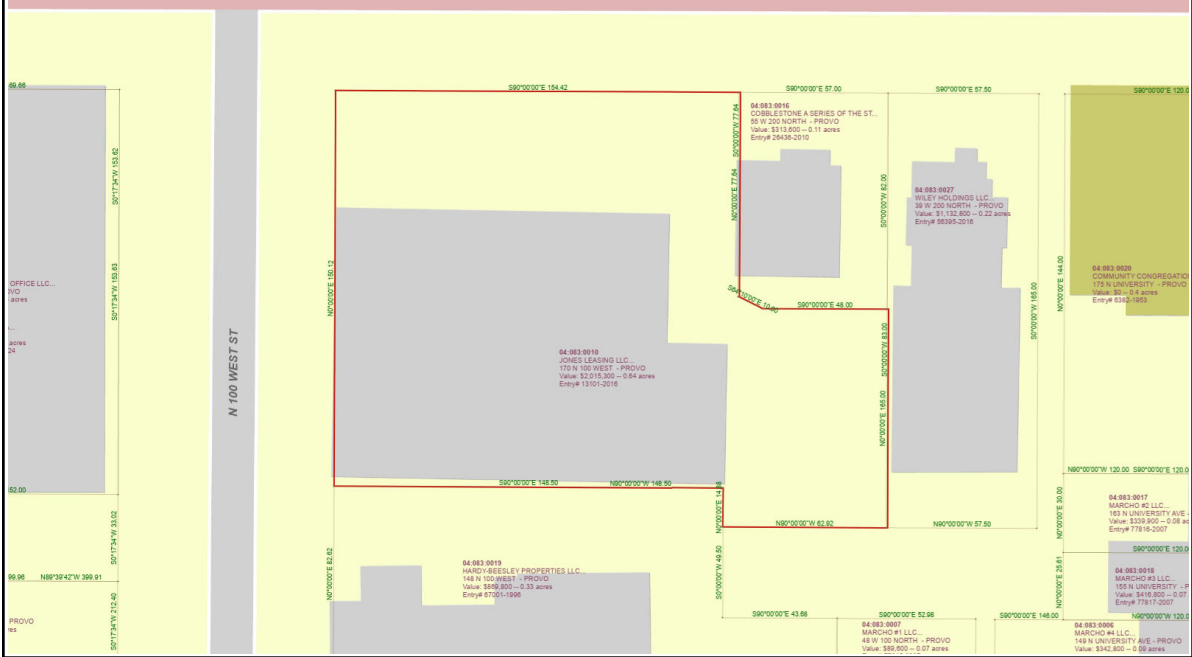
Access and Street Improvements

The subject has 150.12 feet of frontage along the east side of 100 West Street and 154.42 feet of frontage along the south side of 200 North Street. The subject's ingress/egress is provided by both streets. Both street have two travel lanes and are classified as major collector class arterials. Overall, the subject has adequate access and compares favorably with other locations in the general neighborhood.

PLAT MAP



W 200 NORTH ST



SITE PLAN



[illegible]

Utilities

According to Provo City, all necessary utilities are located to the subject property. The cost of utilities in this neighborhood is competitive with all other locations in Utah County.

On-Site Improvements

The entire site area is improved with asphalt paving. The onsite improvements are typical for this type of building and are in average condition with no signs of deferred maintenance.

Building Improvement Location

The building improvements are located southwest within the overall land parcel. Parking is located on the north and east sides of the building. Access to the overhead doors is considered adequate. On-site parking is fairly limited. Still, street parking and downtown parking is available at this location.

Easements or Encroachments

No title report was available for review that would indicate any unusual easements. From visual inspection of the site, there are no building encroachments from the contiguous properties. A review of the plat map did not indicate that there were any easements or rights-of-way which would restrict the use or value of the property. The value estimate of this report is based on these assumptions.

Nuisances, Hazards, and Adverse Influences

At this time, no significant detrimental influences exist relative to the subject property and neighborhood. During my inspection and analysis of the subject neighborhood, no items of external obsolescence were observed. Due to zoning restrictions and other legal considerations, no future detriments are anticipated.

ZONING

The subject property is located within the incorporated boundaries of Provo City, Utah, and is therefore under that jurisdiction for zoning and enforcement. The current zoning for the subject and the immediate neighborhood is DT2, which is a Downtown Core zone. “The Downtown Core zone is established to provide an identifiable and visible pedestrian-friendly, regional urban core that is located around key transportation corridors and other regional land uses in the central part of the city”. A zoning map can be found on the following page and a copy of the zoning ordinance can be found in the addendum of the report.

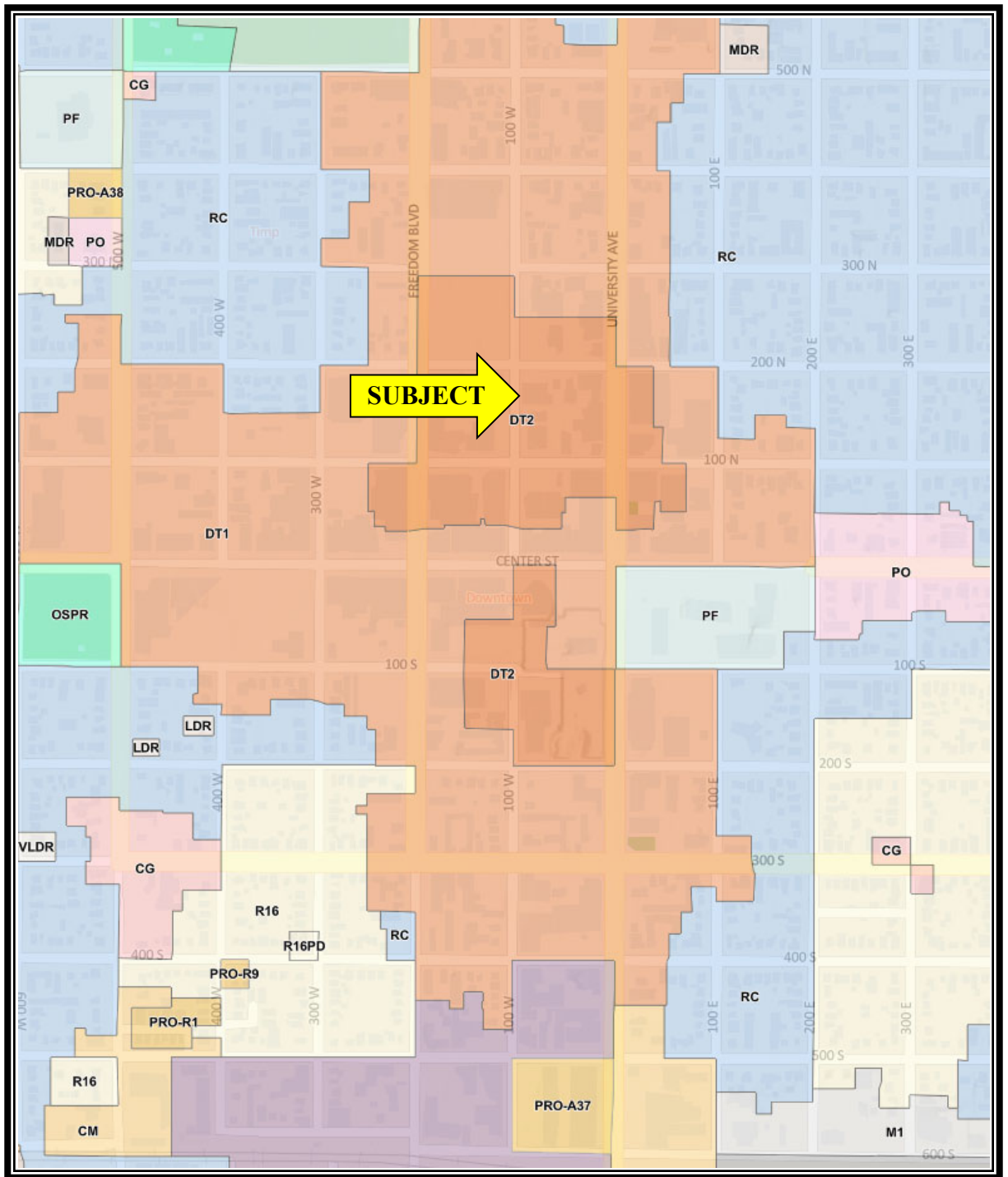
Permitted uses within the DT2 zone include a variety of residential, commercial, retail and office development. The following is a summary of the development standards for this zoning.

Development Standards

Minimum Lot Size:	20,000 square feet
Minimum Front Yard:	0 feet
Maximum Front Yard:	10 feet
Minimum Side Yard:	0 feet
Maximum Side Yard:	10 feet
Minimum Rear Yard:	0 feet
Maximum Rear Yard:	No requirement
Minimum Landscape:	Landscaping shall be required for all yards and open areas not used for vehicular parking or access.
Building Coverage:	No requirement
Parking:	One stall for every 600 square feet of retail area, and one stall for every 600 feet of warehouse area.

The subject has 29 on-site parking stalls. Based on the existing building, the zone requires 37 parking stalls. The subject meets other development standards as indicated by the zone. Based on the review of the DT2 zoning ordinance, the subject is a legal and non-conforming use as to parking. A copy of the DT2 zoning ordinance can be found in the addendum and a zoning map, showing the location of the subject, can be found on the following page.

ZONING MAP



IMPROVEMENT DESCRIPTION**General Description of Building**

The building description and area is based on physical inspection by Bradford Dyreng on November 20, 2025 and previous plans provided by the owner. The building represents a two level structure of average quality construction. The building was constructed in two phases. The first phase (8,803 sf) represents an average quality concrete block structure with stucco facade. The second phase (13,616 sf) represents a metal structure with stucco and store front glass facade. The entire roof is built-up with a membrane covering.

The interior layout includes 4,902 square feet (21.9%) of retail/office space and 17,517 square feet (78.1%) of warehouse area. The total building area is 22,419 square feet. Of the total area, 13,872 is located on the main level and 8,547 square feet is located on the upper level.

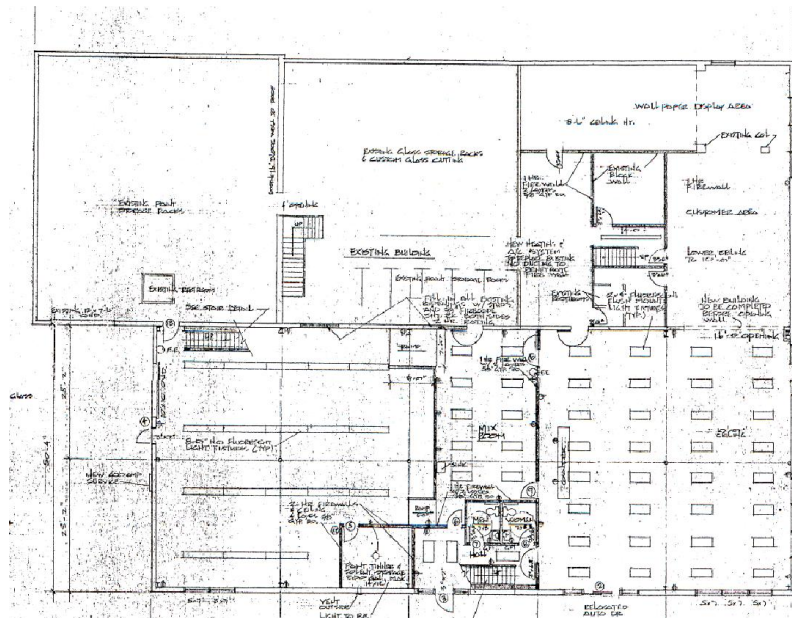
The office finish includes commercial carpet, painted plaster/gypsum board walls, and acoustical ceiling tile. Lighting is provided by recessed fluorescent fixtures. All of the office is located on the second level. The general clear height is 8 feet. The climate is controlled by a central gas fired heating and air-conditioning system.

The retail area finish includes vinyl floor tile, painted gypsum board walls, and acoustical tile/painted wood deck ceiling. Lighting is provided by recessed/ceiling mounted fluorescent fixtures. All of the retail finish is located on the main level. The general clear height is 10 feet. The climate is controlled by a central gas fired heating and air-conditioning system.

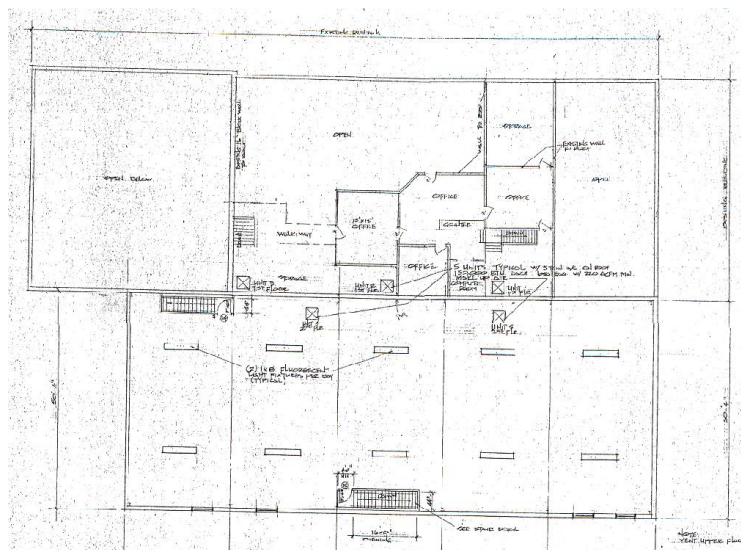
The warehouse/storage area is located on two levels. The finish includes treated concrete/wood flooring and vinyl backed insulation on the walls and ceiling. Some of the wall/ceiling area has a painted gypsum board covering. The lighting is provided by a number of ceiling mounted fluorescent fixtures. Climate control is provided by overhead gas heaters/forced heat and air. The general clear height is 10-12 feet. Access to the upper level is provided by two sets of interior stairs. A conveyer system allows small to medium sized items to be moved to the second level warehouse area. The main level warehouse is accessed via an overhead door located at the north elevation. Overall, the warehouse area is considered to be of average quality and have fair to below average utility when compared to the subject market.

An unfinished basement (15' x 40') has not been included in the square footage and will be treated as an amenity.

FLOOR PLAN



Main Floor



Upper Floor

The building is classified by the *Marshall Valuation Service* as an average quality Class “S” and “C” industrial building. The type of materials used and the workmanship are considered to be of "average" cost for this type of improvement.

Condition, Effective Age, and Functional Utility

As noted, the subject was constructed in two phases. The first phase was constructed new in 1928 and the second phase was constructed new in 1990. The weighted average actual age is 57 years. The subject has received on-going maintenance and remains in average condition. Based on the foregoing, the effective age is concluded to be 15 years. *Marshall Valuation Services* estimates that the economic life for a building like this is about 50 years. Based on an effective age of 15 years, the subject has a remaining life of 35 years.

The subject is adequately laid out and fully functional for its intended use, with some concern as to the low clear height/limited access to the upper level storage area. The size and ratio of office to warehouse space is also typical of the current market. The general building materials, use, and design are functional and consistent with what would be constructed new today for this type of use.

American Disabilities Act

The subject is improved with accessible parking and adequate access for the handicapped. The interior main level restrooms have also been designed to conform to ADA. standards. The subject appears to conform to the Americans With Disabilities Act of 1990, Overview of Title III.

ASSESSMENT AND TAXES

The Utah County Assessor identifies the subject with tax parcel number 04:083:0010. A three year tax history as it applies to the subject building is summarized in the following table.

SUBJECT BUILDING					
Year	Land Value	Improvement Value	Total Value	Tax Liability	Percentage Increase
2025	\$740,600	\$1,274,700	\$2,015,300	\$20,191.29	-3.6%
2024	\$728,900	\$1,332,800	\$2,061,700	\$20,944.81	5.0%
2023	\$662,500	\$1,272,600	\$1,935,100	\$19,941.21	n/a

Based on the concluded value of this report, Utah County has under assessed the subject. However, this is typical and a substantial increase in the tax liability should not be anticipated. There are no back taxes owing.

HIGHEST AND BEST USE

Real estate is typically valued in terms of its highest and best use. Highest and best use is defined in *The Appraisal of Real Estate* as:

"The reasonably probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and that results in the highest value."⁸

In estimation of the highest and best use, the appraiser must consider these four basic stages of analysis for proposed uses:

1. Legally permissible uses. Are there zoning or deed restrictions that would prohibit proposed uses?
2. Physically possible uses. From the permissible uses, which are physically possible when considering all aspects of the site size, shape, and topography or any other physical aspects?
3. Financially feasible uses. Which of the above legally permissible and possible uses will produce a net return to the owner of the site?
4. Maximally productive or highest and best use. After analyzing the above considerations, which of the proposed uses will produce or generate the highest rate of net return over a projected period of time?

In determining the highest and best use of the subject property, the land is considered under two classifications. The first type is the highest and best use as though vacant; the second is the highest and best use as improved. Each type requires a separate discussion and analysis.

⁸ Appraisal Institute, *The Appraisal of Real Estate*, 11th ed. (Chicago: Appraisal Institute, 1996), 297.

As Vacant

The highest and best use “as vacant” is for the development of retail/office or very high density residential/retail office development as demand warrants and as allowed by zoning. The building should be of average to above average quality build-out and have a building-to-land ratio of 25 percent to 3.0 times, depending on use. For further highest best use evidence, recent downtown Provo site sales have been gathered, and are found in the following table.

SITE SALES						
#	Sale Date	Location	Total Price	Size (sq.ft.)	Price/sq.ft	Zoning
1	03/23	468 E. 200 South, American Fork	\$1,505,000	57,935	\$25.98	C2
2	12/21	362 S. University, Provo	\$11,317,500	125,671	\$90.05	DT1
3	11/25*	70 E. 200 South, Provo	\$799,900	11,761	\$68.01	DT1
4	11/20	1122 S. 900 East, Provo	\$1,850,000	68,825	\$26.88	LDR
5	07/20	1900 N. Canyon Rd. Provo	\$3,509,000	53,650	\$65.41	CMU
Subject		170 N. 100 West, Provo	n/a	27,878	n/a	DT2

*Under Contract

Based on the concluded value of the subject at \$4,730,000 and the subject’s site size of 27,878 square feet, on a per square foot basis this equates to \$169.67 per square foot. This amount is greater than all the comparables. Further, land values in downtown Provo have leveled off since the peak in 2022-2023. It is concluded that the subject building contributes to site value.

As Improved

The existing improvements are consistent with the highest and best use “as vacant”.

VALUATION PROCESS

In general, there are three primary valuation approaches employed within the appraisal profession by which real property is appraised. These are the Cost Approach, the Income Capitalization Approach, and the Sales Comparison Approach.

The use of each approach depends on the type of property and the availability of market data upon which the approach is predicated. The use of more than one approach, and preferably all three, requires a correlation analysis which is in effect a checking and refining measure toward a dependable final estimate of value.

As noted earlier in the report, only the Sales Comparison Approach will be expanded in this evaluation.

SALES COMPARISON APPROACH

The Sales Comparison Approach is a method of estimating market value by comparing similar properties that have sold, or that are currently listed for sale, to the subject. Of primary consideration is the fact that the comparables should have the same highest and best use as the property being appraised while the analysis focuses on the differences between the subject property and the sale comparables. Typical criteria considered are property rights conveyed, terms of sale, conditions of sale, time of sale, economic characteristics, location, size, zoning, and other physical characteristics.

The Sales Comparison Approach is primarily based on the appraisal principle of substitution. Substitution is defined in *The Dictionary of Real Estate Appraisal* as follows: "The appraisal principle that states when several similar or commensurate commodities, goods, or services are available, the one with the lowest price will attract the greatest demand and widest distribution."⁹ Other appraisal principles which apply to this approach include supply and demand, balance, and externalities.

In applying the Sales Comparison Approach, appraisers follow certain procedures or steps. According to *The Appraisal of Real Estate*, the procedure is as follows:

Sale Comparison Approach Procedure

- "1) Research the market to obtain information on sales transactions, listing, and offers to purchase or sell properties that are similar to the subject property in terms of characteristics such as property type, date of sale, size, location, and zoning. (Of particular importance is that they have the same highest and best use as the subject).
- 2) Verify the information by confirming that the data obtained are factually accurate and that the transactions reflect arm's length market considerations.
- 3) Select relevant units of comparison (e.g., dollars per acre, per square foot, or per income multiplier) and develop a comparative analysis for each unit.

⁹ Appraisal Institute, *The Dictionary of Real Estate*, 3rd ed., (Chicago: Appraisal Institute, 1993), 356.

- 4) Compare comparable sale properties with the subject property using the elements of comparison and adjust the sale price of each comparable appropriately to the subject property or eliminate the sale property as a comparable.
- 5) Reconcile the various value indications produced from the analysis of comparables into a single value indication or a range of values."¹⁰

An extensive search was made in the Utah and Salt Lake County area for similar comparable sales. All of the comparables were arm's length transactions, similar to the subject in highest and best use, and similar in conditions of sale, date of sale, economic factors, and physical characteristics. The search disclosed five comparables which are detailed on the following pages.

¹⁰ Appraisal Institute, *The Appraisal of Real Estate*, 11th ed., (Chicago: Appraisal Institute, 1996), 401.

COMPARABLE SALE ONE**PROPERTY IDENTIFICATION**

Address:	13081 South Minuteman Drive
City/State:	Draper, Utah
Proximity to Subject:	25.0 miles north
Tax Id. Number:	28:31:301:019 (portion of)

SALE DATA

Grantor or Seller:	Pony Express Limited, LC
Grantee or Buyer:	Matt Kelly
Date of Sale:	March 2024
Sales Price:	\$6,700,000
Other	\$910,000 in excess land
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	\$5,790,000
Verification:	Purchase Contract and buyer
Date of Inspection:	February 17, 2024
Estimated Marketing Time:	Six months

IMPROVEMENT DATA

Building Description:	Retail/Warehouse Building
Gross Building Area:	27,170 square feet
Number of Stories:	One
Office/Retail Area:	7,140 square feet
Percent Office/Retail:	26.3 percent
Clear Ceiling Height:	19 feet
Construction:	Class "C", tilt-up
Quality:	Average
Condition at Sale Time:	Average
Number of Doors:	2
Year Built:	1994, renovation in 2016
Age at Sale Time:	30 years
Effective Age at Sale Time:	10 years
Building-to-Land Ratio:	31.2 percent

GENERAL PROPERTY DATA

Zoning:	CR, Commercial - Draper City
Conditions of Sale:	Arm's length
Property Rights Conveyed:	Leased Fee
Present Use:	Retail/Shop
Highest and Best Use:	Commercial

COMPARABLE SALE ONE - CONTINUED**SITE DATA**

Size:	2.00 acres, or 87,120 square feet
Configuration:	Mostly Rectangular
Topography:	Level
Utilities:	All available to the site
Parking:	Adequate
Easements/Restrictions:	None

ECONOMIC DATA

Projected Gross Income:	\$358,956
Vacancy:	\$12,564
Effective Gross Income:	\$346,392
Expenses:	\$17,320
Net Operating Income:	\$329,072
Net Income Per Sq.Ft.:	\$12.11

APPRAISAL INDICATORS

Overall Price/SF:	\$213.10
Eff. Gross Income Multiplier:	17.59
Overall Capitalization Rate:	5.68 percent

ANALYSIS: This comparable represents a superior quality/newer aged building located north of the subject in Draper along an I-15 frontage road. This location is considered to be similar to that of the subject. Clear height is superior to the subject. Building-to-land ratio is superior. Other physical characteristics are considered to be similar.

COMPARABLE SALE TWO**PROPERTY IDENTIFICATION**

Address:	1155 South State Street
City/State:	Provo, Utah
Proximity to Subject:	2.0 miles south
Tax ID Number:	66:313:0004

SALE DATA

Grantor or Seller:	Nichols Enterprises LLC
Grantee or Buyer:	Earl Corporation
Date of Sale:	January 2025
Sales Price:	\$3,750,000
Other:	None
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	\$3,750,000
Verification:	Purchase Contract
Date of Inspection:	November 24, 2025
Estimated Marketing Time:	4 Months
Sale History:	None

IMPROVEMENT DATA

Building Description:	Office/Warehouse, Single-tenant
Gross Building Area:	13,182 square feet
Number of Stories:	One
Construction:	Class "C"
Quality:	Above Average
Year Built:	2009
Age at Sale Time:	16 years
Effective Age at Sale Time:	10 years
Condition at Sale Time:	Above Average
Office/Retail Area:	2,373 square feet, average
Percent Office/Retail:	18.0 percent, average
Clear Ceiling Height:	19 feet
Sprinklered:	Yes
Number of Overhead Doors:	1
Size of Overhead Doors:	Various
Dock High Floor/Doors:	No
Retail Heating/Cooling:	Gas fired heat/air conditioning
Shop Heating/Cooling:	Overhead radiant heaters
Building-to-Land Ratio:	22.6 percent

COMPARABLE SALE TWO - CONTINUED**GENERAL PROPERTY DATA**

Zoning:	CM - Commercial
Conditions of Sale:	Arm's length
Property Rights Conveyed:	Leased Fee
Present Use:	Office/Shop Building
Highest and Best Use:	Commercial

SITE DATA

Size:	1.34 acres, or 58,370 square feet
Configuration:	Mostly Rectangular
Topography:	Nearly level
Utilities:	All available to site
Parking:	Adequate
Easements/Restrictions:	None

ECONOMIC DATA

Tenant:	Cascade Collision Repair
Tenant Strength:	Local/Regional
Lease Date/Terms:	5 years
Lease Type:	NNN
Projected Gross Income:	\$242,638
Vacancy:	\$9,706
Effective Gross Income:	\$232,932
Expenses:	\$13,976
Net Operating Income:	\$218,956
Net Income Per Sq.Ft.:	\$16.61

APPRAISAL INDICATORS

Overall Price/SF:	\$284.48
Overall Capitalization Rate:	5.84 percent

ANALYSIS: This comparable represents a similar quality/newer age building located south of the subject in south Provo. This location is similar to the subject. A downward adjustment is made for the comparable's smaller size. Clear height is superior to the subject. Building-to-land ratio is superior. Other physical characteristics are considered to be similar to those of the subject.

COMPARABLE SALE THREE**PROPERTY IDENTIFICATION**

Address:	374 North State Street
City/State:	Orem, Utah
Proximity to Subject:	5.0 miles north
Tax Id. Number:	18:006:0078, :0082 and :0092.

SALE DATA

Grantor or Seller:	STC Leasing LLC & Shan Lin
Grantee or Buyer:	Hafen Investments LLC
Date of Sale:	February 2024
Sales Price:	\$3,620,000
Other:	None
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	\$3,620,000
Verification:	Purchase Contract, and buyer
Date of Inspection:	November 24, 2025
Estimated marketing time:	Four Months

IMPROVEMENT DATA

Building Description:	Office/warehouse, single tenant
Gross Building Area:	16,809 square feet
Number of Stories:	One
Construction:	Class "C", block
Quality:	Average
Condition at Sale Time:	Average
Year Built:	1950
Age at Sale Time:	74 years
Effective Age at Sale Time:	20 years
Office Area/Quality:	8,405 square feet, average quality
Office Percentage:	50.0 percent
Clear Ceiling Height:	14 feet
Sprinklered:	No
Number of Overhead Doors:	One
Size of Overhead Doors:	Various
Dock High Floor/Doors:	Yes
Office Heating/Cooling:	Gas forced air with air conditioning
Warehouse Heating/Cooling:	Space heaters
Building-to-Land Ratio:	31.9 percent

COMPARABLE SALE THREE - CONTINUED**GENERAL PROPERTY DATA**

Zoning:	C- Commercial
Conditions of Sale:	Arm's length transaction
Property Rights Conveyed:	Fee Simple
Present Use:	Office/warehouse
Highest and Best Use:	Present use as improved
Rail Service:	No

SITE DATA

Size:	1.21 acres, or 52,708 square feet
Configuration:	Rectangular, corner
Frontage:	State Street
Topography:	Level
Utilities:	All municipal utilities
Parking:	Adequate
Parking Ratio:	n/a
Easements/Restrictions:	None noted

ECONOMIC DATA

Tenant:	None
Tenant Strength:	n/a
Lease Type:	n/a
Term:	n/a
Lease Rate/SF:	n/a
Projected Gross Income:	n/a
Vacancy:	n/a
Effective Gross Income:	n/a
Expenses:	n/a
Net Operating Income:	n/a
NOI/SF:	n/a

APPRAISAL INDICATORS

Overall Price/SF:	\$215.36
Overall Rate:	n/a

ANALYSIS: This comparable represents a similar quality/older age building located north of the subject along State Street in Orem. This location is similar to that of the subject. A downward adjustment is warranted for the comparable's superior percentage of office finish. Clear height is superior to the subject. Size is smaller. Building-to-land ratio is superior. Other physical characteristics are considered to be similar to those of the subject.

COMPARABLE SALE FOUR**PROPERTY IDENTIFICATION**

Address:	1327 North 200 East
City/State:	Spanish Fork, Utah
Proximity to Subject:	8.0 miles south
Tax ID Number:	27:015:0098

SALE DATA

Grantor or Seller:	KYLTRE, LLC
Grantee or Buyer:	Rev6 LLC
Date of Sale:	October 2024
Sales Price:	\$3,600,000
Other:	\$587,000 in renovations
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	\$4,187,000
Verification:	Purchase Contract and Buyer
Date of Inspection:	November 24, 2025
Estimated Marketing Time:	6 Months
Sale History:	None

IMPROVEMENT DATA

Building Description:	Office/warehouse, single-tenant
Gross Building Area:	16,080 square feet
Number of Stories:	One
Construction:	Class "C", block
Quality:	Average
Year Built:	1980 with renovation in 2024
Age at Sale Time:	44 years
Effective Age at Sale Time:	10 years, after renovation
Condition at Sale Time:	Average
Office/Retail Area:	2,251 square feet, average
Percent Office/Retail:	14.0 percent, average
Clear Ceiling Height:	15 feet
Sprinklered:	No
Number of Overhead Doors:	Three
Size of Overhead Doors:	Various
Dock High Floor/Doors:	No
Retail Heating/Cooling:	Gas fired heat/air conditioning
Shop Heating/Cooling:	Overhead space heaters
Building-to-Land Ratio:	22.5 percent

COMPARABLE SALE FOUR - CONTINUED**GENERAL PROPERTY DATA**

Zoning:	I-1; Industrial
Conditions of Sale:	Arm's length
Property Rights Conveyed:	Fee Simple
Present Use:	Office/Warehouse
Highest and Best Use:	Industrial/Shop

SITE DATA

Size:	1.64 acres, or 71,438 square feet
Configuration:	Rectangular
Topography:	Nearly level
Utilities:	All available to site
Parking:	Adequate
Easements/Restrictions:	None

ECONOMIC DATA

Tenant:	None
Tenant Strength:	n/a
Lease Type:	n/a
Term:	n/a
Lease Rate/SF:	n/a
Projected Gross Income:	n/a
Vacancy:	n/a
Effective Gross Income:	n/a
Expenses:	n/a
Net Operating Income:	n/a
NOI/SF:	n/a

APPRAISAL INDICATORS

Overall Price/SF:	\$260.39
Overall Capitalization Rate:	n/a

ANALYSIS: This comparable represents a similar quality/newer age building located south of the subject in Spanish Fork. This location is slightly inferior. A downward adjustment is made for size. Clear height is superior to the subject. Building-to-land ratio is superior. Other physical characteristics are considered to be similar to those of the subject.

COMPARABLE SALE FIVE**PROPERTY IDENTIFICATION**

Address:	860 West 200 South
City/State:	Lindon, Utah
Proximity to Subject:	10.0 miles north
Tax ID Number:	66:983:0001, :0002, :0007 and :0008

SALE DATA

Grantor or Seller:	Sunrise Warehouse Partners
Grantee or Buyer:	Bruce Black
Date of Sale:	June 2024
Sales Price:	\$7,350,000
Terms/Financing:	Cash to seller
Cash Equivalent Sale Price:	\$7,350,000
Verification:	Bruce Black, buyer
Date of Inspection:	November 24, 2025
Estimated marketing time:	6 months

IMPROVEMENT DATA

Building Description:	Office/Warehouse
Gross Building Area:	29,041 square feet (58,082 sq.ft. Total project)
Number of Stories:	Two
Construction:	Class "C", block
Quality:	Above Average
Condition at Sale Time:	Above Average
Year Built:	2024
Age at Sale Time:	New
Effective Age at Sale Time:	New
Office Area/Quality:	4,356 square feet
Office Percentage:	15.0 percent
Clear Ceiling Height:	24 feet
Sprinklered:	Yes
Size of Overhead Doors:	n/a
Dock High Floor/Doors:	None
Office Heating/Cooling:	Gas forced air with air conditioning
Warehouse Heating/Cooling:	Space heaters, air conditioning
Building-to-Land Ratio:	33.3 percent

COMPARABLE SALE FIVE - CONTINUED**GENERAL PROPERTY DATA**

Zoning:	I-1 - Industrial
Conditions of Sale:	Arm's length transaction
Property Rights Conveyed:	Fee Simple
Present Use:	Retail/warehouse
Highest and Best Use:	Present use as improved
Rail Service:	No

SITE DATA

Size:	4.01 acres or 174,675 square feet (overall project)
Configuration:	Slightly Irregular
Frontage:	200 East (access to project)
Topography:	Level
Utilities:	All municipal utilities
Parking:	Adequate
Parking Ratio:	n/a
Easements/Restrictions:	None noted

ECONOMIC DATA

Lease Type:	None
Lease Date/Terms:	n/a
Lease Rate/SF:	n/a
Projected Gross Income:	n/a
Vacancy:	n/a
Effective Gross Income:	n/a
Expenses:	n/a
Net Operating Income:	n/a

APPRAISAL INDICATORS

Overall Price/SF:	\$253.09
Overall Rate:	n/a

ANALYSIS: This comparable represents a similar quality/newer aged building located north of the subject in Lindon. Overall this location is slightly inferior. This comparable represents 4 of 8 units in a larger building. Clear height is superior to the subject. Building-to-land ratio is superior. Other physical characteristics are considered to be similar to those of the subject.

COMPARABLE PHOTOGRAPHS



COMPARABLE ONE
13081 South Minuteman Drive, Draper



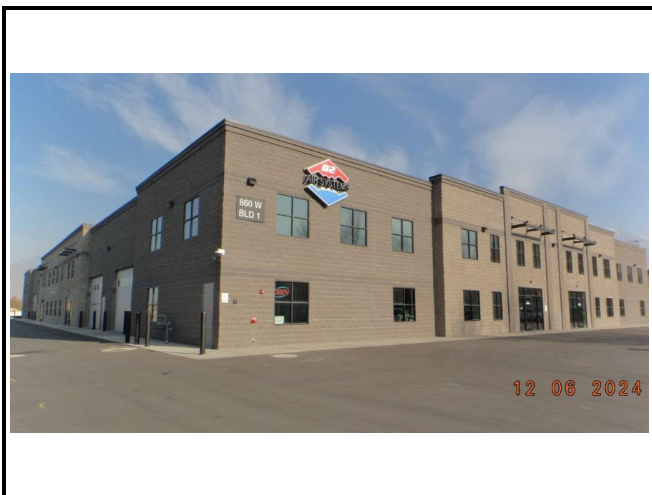
COMPARABLE TWO
1155 South State Street, Provo



COMPARABLE THREE
374 North State Street, Orem



COMPARABLE FOUR
1327 North 200 South, Spanish Fork



COMPARABLE FIVE
860 West 200 South, Lindon

Sale Comparables Map



0 mi 2 4 6 8 10 12

IMPROVED SALES SUMMARY							
#	Sale Date	Location	Sale Price	Size (Sq.Ft.)	% Office	Effect Age	Price/ Sq.Ft.
1	03/24	13081 S. Minuteman Dr, Draper	\$5,790,000	27,170	26.3%	10 yrs	\$213.10
2	01/25	1155 S. State Street, Provo	\$3,750,000	13,182	18.0%	10 yrs	\$284.48
3	02/24	374 N. State Street, Orem	\$3,620,000	16,809	50.0%	20 yrs	\$215.36
4	10/24	1327 N. 200 East, Spanish Fk.	\$4,187,000	16,080	14.0%	10 yrs	\$260.39
5	06/24	560 W. 200 South, Lindon	\$7,350,000	29,041	15.0%	New	\$253.09
Subject		170 N. 100 West, Provo	n/a	22,419	21.9%	15 yrs	n/a

Value Indication by Price Per Square Foot Method

The subject will be valued based on the price per square foot method. Prior to adjustments, the comparables indicate a value range from \$213.10 to \$260.39 per square foot. Variance in price can typically be attributed to differences in property rights, conditions of sale, date of sale, location, and physical differences.

All of the comparables represents arms length, cash to seller transactions. As such, no adjustments are warranted for terms of sale and/or financing.

The comparables sold under a time frame from February 2024 to January 2025. A three percent annual adjustment is made.

The subject is being valued in fee simple title. Two of the comparables (1 and 2) sold based on leased fee property rights, however, no adjustment is warranted as all of the leases were at market rates. No other adjustments are made.

As to location and physical characteristics, factors warranting adjustments, as it was discussed in the Analysis Section of the respective comparable data sheets, will be reflected in the adjustment grid found on the following page.

ADJUSTMENT GRID					
	COMPARABLES				
	1	2	3	4	5
Unadjusted Price/SF	\$213.10	\$284.48	\$215.36	\$260.39	\$253.09
Property Rights	0%	0%	0%	0%	0%
Subtotal	\$213.10	\$284.48	\$215.36	\$260.39	\$253.09
Terms of Sale	0%	0%	0%	0%	0%
Subtotal	\$213.10	\$284.48	\$215.36	\$260.39	\$253.09
Conditions of Sale	0%	0%	0%	0%	0%
Subtotal	\$213.10	\$284.48	\$215.36	\$260.39	\$253.09
Market Conditions (Date)	3%	0%	3%	3%	3%
Subtotal	\$219.49	\$284.48	\$221.82	\$268.20	\$260.68
Location Ab. Average	0% Similar	0% Similar	0% Similar	5% Inferior	5% Inferior
Quality Steel/Block/Avg	-3% Tilt	0% Block	0% Block	0% Block	0% Block
Age/Condition 15 yrs	-5% 10 yrs	-5% 10 yrs	5% 20 yrs	-5% 10 yrs	-10% New
Size 22,419 sf	3% 27,170 sf	-5% 13,182 sf	-3% 16,809 sf	-3% 16,080 sf	3% 29,041 sf
Percent Retail/Office 21.9%	0% 26.3%	0% 18.0%	-5% 50.0%	0% 14.0%	0% 15.0%
Shop Finish Average	0% Similar	0% Similar	0% Similar	0% Similar	0% Similar
Building-to-Land 80.4%	-5% 31.2%	-5% 22.6%	-5% 31.9%	-5% 22.5%	-5% 33.3%
Site Improvements Full	0% Full	0% Full	0% Full	0% Full	0% Full
Clear Height 10-12 feet	-5% 19 feet	-5% 19 feet	-5% 14 feet	-5% 15 feet	-10% 24 feet
ADJUSTED PRICE/ SQ.FT.	\$186.57	\$227.58	\$192.98	\$233.34	\$216.37
NET ADJUSTMENT	-15%	-20%	-13%	-13%	-17%
GROSS ADJUSTMENT	21%	20%	23%	23%	33%
Mean	\$211.37				

Price Per Square Foot Conclusion

The comparables indicate a range of adjusted sale prices from \$186.57 to \$233.34 per square foot with an overall average of \$211.37 per square foot. All of the comparables are good for comparison and most weight is given the overall average. When giving weight to the overall average, a value of \$211.00 per square foot is justified and concluded. At 22,419 square feet, the subject's value is calculated as follows:

\$211.00/SF x 22,419 SF	\$ 4,730,409
ROUNDED TO	\$ 4,730,000

After careful consideration of the information presented in this section of the report, I am of the opinion that the as is market value of the fee simple estate, as of November 20, 2025, is:

\$4,730,000

"FOUR MILLION SEVEN HUNDRED THIRTY THOUSAND DOLLARS"

RECONCILIATION AND FINAL VALUE ESTIMATE

Reconciliation is the final step in the valuation process where the appraisal report concludes with a final value estimate.

A brief description of the site, building improvements, and other factors concerning the property were discussed. The property was analyzed concerning the highest and best use as if vacant and as improved. The existing improvements are consistent with the highest and best use as vacant.

The next step in the appraisal process was estimating the fee simple title market value of the subject through appraisal methods. The major valuation conclusion was reached in the report via the Sales Comparison Approach (\$4,730,000). As noted, the Income Capitalization and Cost Approaches were not applicable and not needed to produce credible results.

After careful consideration of the information and analysis contained within this report, I am of the opinion that the "as is" market value of the subject property, with fee simple property rights, as of November 20, 2025, is:

\$4,730,000

"FOUR MILLION SEVEN HUNDRED THIRTY THOUSAND DOLLARS"

CERTIFICATION OF VALUE

I, BRADFORD DYRENG certify that, to the best of my knowledge and belief:

- The statements of fact contained in this report are true and correct.
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- I have no present or prospective interest in the property that is the subject of this report and no personal interest with respect to the parties involved.
- I have not performed other appraisal services, as an appraiser, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.
- I have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.
- My engagement in this assignment was not contingent upon developing or reporting predetermined results.
- My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- My analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the *Uniform Standards of Professional Appraisal Practice*.
- I have made a personal inspection of the property that is the subject of this report.
- No one provided significant real property appraisal assistance to the person signing this certification.
- The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute.
- The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.

- As of the date of this report, I have completed the continuing education program of the Appraisal Institute.

December 16, 2025
BRADFORD DYRENG



Utah State - Certified General Appraiser License # 6168334-CG00 (Exp. 11/30/27)
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GENERAL ASSUMPTIONS

This appraisal report has been made with the following general assumptions:

1. The legal description used in this report is assumed to be correct.
2. No survey of the property has been made by the appraiser and no responsibility is assumed in connection with such matters. Sketches in this report are included only to assist the reader in visualizing the property.
3. No responsibility is assumed for matters of a legal nature affecting title to the property nor is an opinion of title rendered. The title is assumed to be good and marketable, unless otherwise stated.
4. Information furnished by others is assumed to be true, correct, and reliable. A reasonable effort has been made to verify such information; however, no responsibility for its accuracy is assumed by the appraiser.
5. All mortgages, liens, encumbrances, leases, and servitudes have been disregarded unless so specified within the report. The property is appraised as though under responsible ownership and competent management.
6. It is assumed that there are no hidden or unapparent conditions of the property, subsoil, or structures which would render it more or less valuable. No responsibility is assumed for such conditions or for engineering which may be required to discover such factors.
7. Full compliance with all applicable federal, state, and local environmental regulations and laws is assumed unless noncompliance is stated, defined, and considered in the appraisal report.
8. It is assumed that all applicable zoning and use regulations and restrictions have been complied with, unless a nonconformity has been stated, defined, and considered in the appraisal report.
9. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been or can be obtained or renewed for any use on which the value estimate contained in this report is based.
10. It is assumed that the utilization of the land and improvements is within the boundaries or property lines of the property described and that there is no encroachment or trespass unless noted in the report.

GENERAL LIMITING CONDITIONS

The appraisal report has been made with the following general limiting conditions:

1. The appraiser will not be required to give testimony or appear in court because of having made this appraisal, with reference to the property in question, unless arrangements have been previously made.
2. Possession of this report, or a copy thereof, does not carry with it the right of publication. It may not be used for any purpose by any person other than the party to whom it is addressed without the written consent of the appraiser, and in any event only with proper written qualification and only in its entirety.
3. The distribution of the total valuation in this report between land and improvements applies only under the reported highest and best use of the property. The allocations of value for land and improvements must not be used in conjunction with any other appraisal and are invalid if so used.
4. Disclosure of the contents of this appraisal report is governed by the By-Laws and Regulations of the Appraisal Institute.

Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser or any reference to the Appraisal Institute or to the MAI designation) shall be disseminated to the public through advertising media, public relations media, sales media or any other public means of communication without the prior written consent and approval of the appraiser.

5. Acceptance of and/or use of this appraisal report constitutes acceptance of the stated general assumptions and limiting conditions.

SPECIAL LIMITING CONDITIONS

1. The liability of Dyreng Real Estate Services is limited to the client only and to the fee actually received by appraiser. Further, there is no accountability, obligation, or liability to any third party. If this report is placed in the hands of anyone other than client, the client shall make such party aware of all limiting conditions and assumptions of the assignment and related discussions. The appraiser is in no way to be responsible for any costs incurred to discover or correct any deficiencies of any type present in the property; physically, financially, and/or legally. In the case of limited partnerships or syndication offerings or stock offerings in real estate, client agrees that in case of lawsuit (brought by lender, partner or part owner in any form of ownership, tenant, or any other party), any and all awards, settlements of any type in such suit, regardless of outcome, client will hold appraiser completely harmless in any such action.
2. The existence of potentially hazardous material on or near the subject site and/or used in the construction or maintenance of any of the buildings, such as the presence of urea-formaldehyde foam insulation, and/or the existence of toxic waste, which may or may not be present on the property, was not observed by myself, nor do I have any knowledge of the existence of such materials on or in the property. The appraiser, however, is not qualified to detect such substances. The existence of urea-formaldehyde foam insulation or other potentially hazardous waste material may have an effect on the value of the property. I urge the client to retain an expert in this field if desired.
3. If there is proposed construction, the appraisal is made subject to satisfactory completion of construction according to architectural plans.

SUBJECT PHOTOGRAPHS



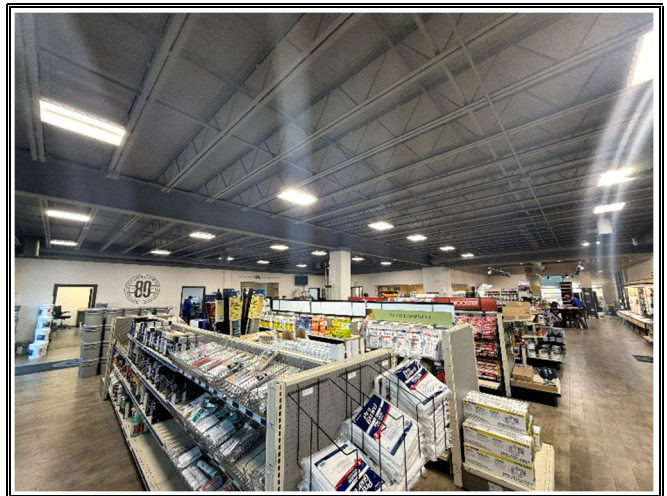
LOOKING SOUTHEASTERLY AT SUBJECT



LOOKING NORTHEASTERLY AT SUBJECT



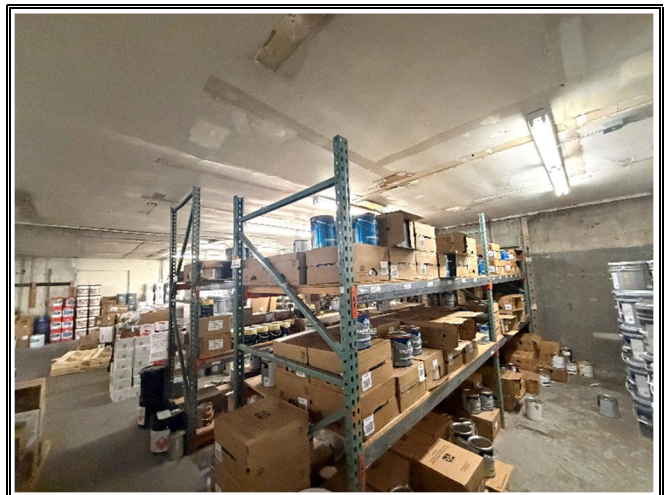
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TYPICAL FINISH



TYPICAL FINISH

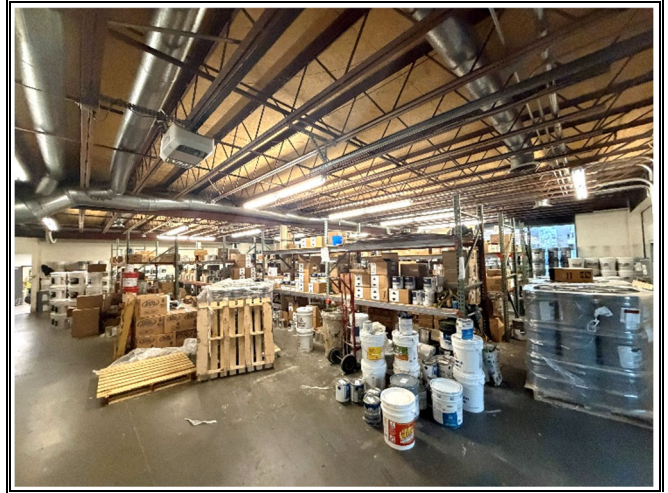


TYPICAL FINISH

SUBJECT PHOTOGRAPHS



TYPICAL FINISH



TYPICAL FINISH



TYPICAL FINISH



TYPICAL FINISH



TYPICAL FINISH



LOOKING EASTERLY AT 200 NORTH

SUBJECT PHOTOGRAPHS



LOOKING WESTERLY AT 200 NORTH



LOOKING NORTHERLY AT 100 WEST



LOOKING SOUTHERLY AT 100 WEST

QUALIFICATIONS OF APPRAISER
BRADFORD DYRENG, MAI
DYRENG REAL ESTATE SERVICES
Real Estate Appraisers and Consultants
1032 North Titan Drive
Lehi, UT 84043

Education

Utah State University, Master of Business Administration, December 2009

Real Estate and Appraisal Courses

Basic Appraisal Principles, Appraisal Institute 02/10
Basic Appraisal Procedures, Appraisal Institute 02/10
15-Hour National USPAP Course 02/10
Online Residential Sales Comparison and Income Approach, Appraisal Institute 03/11
Residential Site Valuation and Cost Approach, Appraisal Institute 03/11
Online Residential Market Analysis and Highest & Best Use, Appraisal Institute 03/11
Residential Report Writing and Case Studies, Appraisal Institute 05/11
Business Practices and Ethics, Appraisal Institute 07/12
General Appraiser Income Approach Part I, Appraisal Institute 03/14
General Appraiser Income Approach Part II, Appraisal Institute 03/14
General Appraiser Sales Comparison Approach, Appraisal Institute 06/14
General Appraiser Site Valuation and Cost Approach, Appraisal Institute 07/14
General Appraiser Market Analysis and Highest & Best Use, Appraisal Institute 09/14
Real Estate Finance Statistics and Valuation Modeling, Appraisal Institute 10/14
General Appraisal Report Writing and Case Studies, Appraisal Institute 11/14
Small Hotel/Motel Valuation, Appraisal Institute 03/15
Subdivision Valuation, Appraisal Institute 03/15
7-Hour Equivalent USPAP Update Course, Appraisal Institute, 05/17
Analyzing Operating Expenses, Appraisal Institute 12/17
Appraising Convenience Stores, Appraisal Institute 12/17
Data Verification Methods, Appraisal Institute 12/17
Advanced Income Capitalization, Appraisal Institute 02/18
Advanced Market Analysis and Highest & Best Use, Appraisal Institute 04/18
Quantitative Analysis 10/2019
Advanced Concepts and Case Studies 11/2019

Work History

Real Estate Appraiser/Consultant
Nielsen and Company, Orem, Utah
March 2010 to February 2020

Real Estate Appraiser/Consultant
Dyrenge Real Estate Services, Draper, Utah
March 2020 to Present

Professional Accomplishments

Certified General Appraiser - State of Utah - License # 6168334-CG - Expires 11/30/2027
Member of the Appraisal Institute - Member ID #539222
MAI Designation - Appraisal Institute - February 2024

Appraisal Experience

Apartment Project: 12 to 120 unit projects.
Eminent Domain: Road widening, wetlands mitigation, utility corridors, and airport expansion.
Hotel/Motel: Hotels and motels ranging from 40 to 120 rooms with convention facilities.
Industrial: Office/warehouse and manufacturing facilities up to 4,000,000 square feet.
Office Building: Single and multi-tenant facilities ranging from 1,000 to 200,000 square feet.
Assisted Living: Various care levels ranging from 8 to 85 wards.
Townhome and Condo projects: Single and multi-phase projects ranging from 10 to 120 units.
Retail: Neighborhood and community centers.
Raw Land: Land ranging from 10 to 1,000 acres.
Subdivisions: Single and multi-phase projects ranging from 4 to 200 lots.
Recreational Properties.

Partial List of Clients Served

Zions First National Bank	Utah Department of Transportation
First Security Bank	Lehi City
Western Bank	American Fork City
Washington Mutual Bank	Provo City
U.S. Bank	Orem City
Bank of American Fork	Utah County
Central Bank	Springville City
Far West Bank	Various attorneys
Brighton Bank	Alpine School District
Holladay Bank and Trust	Credit Bureaus
Orem Community Bank	Various developers and contractors
Banc One	Grand County
Capital Community Bank	LDS Church
American Investment Financial	Versar Engineering
First National Bank	Horricks Engineering
National Bank of Arizona	RBG Engineering
Frontier State Bank	Celtic Bank
Wells Fargo Bank	Silver State Bank
GE Capital Asset Funding	Prudential Mortgage Capital
Merrill Lynch Mortgage Capital Inc.	GMAC Capital Funding
National Mortgage Company	SkyMar Capital Funding
California Bank and Trust	Mountain America Credit Union
Bank of Utah	M & T Mortgage

**STATE OF UTAH
DEPARTMENT OF COMMERCE
DIVISION OF REAL ESTATE**

ACTIVE LICENSE

DATE ISSUED: 12/07/2023

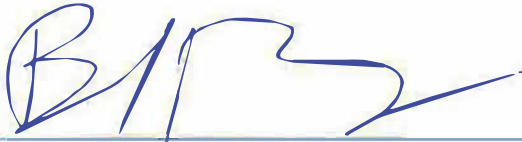
EXPIRATION DATE: 11/30/2025

LICENSE NUMBER: 6168334-CG00

LICENSE TYPE: Certified General Appraiser

BRADFORD BAILEY DYRENG
13923 S ARROW CREEK DR
DRAPER UT 84020




SIGNATURE


REAL

ADDENDUM

DEFINITIONS

These definitions have been extracted, solely or in combination, from definitions and descriptions printed in:

- The Dictionary of Real Estate Appraisal, Fourth Edition, Appraisal Institute, Chicago, Illinois, 2002 (Dictionary).
- The Appraisal of Real Estate, Twelfth Edition, Appraisal Institute, Chicago, Illinois, 2001 (Twelfth Edition).
- Marshall Valuation Service, Marshall & Swift, Los Angeles, California, (MVS).

Absolute Net Lease

A lease in which the tenant pays all expenses including structural maintenance and repairs; usually a long-term lease to a credit tenant. (*Dictionary*)

Accrued Depreciation

The difference between the reproduction or replacement cost of the improvements on the effective date of the appraisal and the market value of the improvements on the same date. (*Dictionary*)

Deferred Maintenance

Curable, physical deterioration that should be corrected immediately, although work has not commenced; denotes the need for immediate expenditures, but does not necessarily suggest inadequate maintenance in the past. (*Dictionary*)

Discounted Cash Flow (DCF) Analysis

The procedure in which a discount rate is applied to a set of projected income streams and a reversion. The analyst specifies the quantity, variability, timing, and duration of the income streams as well as the quantity and timing of the reversion and discounts each to its present value at a specified yield rate. DCF analysis can be applied with any yield capitalization technique and may be performed on either a lease-by-lease or aggregate basis. (*Dictionary*)

Effective Date

The date at which the analyses, opinions, and advice in an appraisal, review, or consulting service apply. (*Dictionary*)

Entrepreneurial Incentive

A market-derived figure that represents the amount an entrepreneur expects to receive as compensation for providing coordination and expertise and assuming the risks associated with the development of a project. (*Twelfth Edition*)

Entrepreneurial Profit

A market-derived figure that represents the amount an entrepreneur receives for his or her contribution to a project and risk; the difference between the development cost of a property and its market value upon completion and stabilization, which represents the entrepreneur's compensation for the risk and expertise associated with development.

Entrepreneurial profit is an amount earned, estimated after completion, while entrepreneurial incentive is an amount anticipated, prior to development. (*Twelfth Edition*)

Exposure Time

The time a property remains on the market. The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based on an analysis of past events assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort. Exposure time is different for various types of real estate and value ranges and under various market conditions. (*Dictionary*)

Fee Simple Estate

Absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat. (*Dictionary*)

Floor Area Ratio (FAR)

The relationship between the above-ground floor area of a building, as described by the building code, and the area of the plot on which it stands; in planning and zoning, often expressed as a decimal, e.g., a ratio of 2.0 indicates that the permissible floor area of a building is twice the total land area. (*Dictionary*)

Gross Building Area (GBA)

The total floor area of a building, including below-grade space but excluding unenclosed areas, measured from the exterior of the walls. All enclosed floors of the building including basements, mechanical equipment floors, penthouses, and the like are included in the measurement. Parking spaces and parking garages are excluded. (*Dictionary*)

Gross Lease

A lease in which the landlord receives stipulated rent and is obligated to pay all or most of the property's operating expenses and real estate taxes. (*Dictionary*)

Highest and Best Use

The reasonably probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and that results in the highest value. The four criteria the highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum profitability. (*Dictionary*)

Industrial Property Classifications

Distribution Warehouse - High cube single-story structures with clear ceiling heights of at least 22 feet to allow three stacking heights of seven feet each. The most common height in this market is 24-foot clear ceiling height. Some distribution buildings now have clear ceiling heights as high as 40 feet or more due to the introduction of robotic computer systems, which allow very narrow aisles and high stacking. In general, column spacing is wider than that in office warehouse buildings and office build-out is minimal, generally 10% or less.

(Definitions Continued)

Flex - Buildings designed with warehouse capabilities such as dock-high or drive-in loading doors and clear ceiling heights of 14 to 16 feet. However, they are termed flex based on their broad range of office finish and their single-story exterior office appearance. The level of office finish typically ranges from 30% to 70% and suites can be divided into relatively small units. Research & Development (R&D) buildings are generally the same as flex warehouse construction but with higher percentages of office finish, often up to 90%.

Manufacturing - Buildings intended to provide space in which to transform, fabricate, or assemble physical resources into other physical goods. These buildings can vary greatly in design, with low clear ceiling heights of 12 feet, to very high clear ceiling heights of 30 feet or more, according to specific industry needs.

Office Warehouse - Generally single-story buildings with clear ceiling heights ranging from about 16 feet to 21 feet. The level of office finish is shaped by the needs of individual tenants, the general uses within the market area, and the availability of parking. The level of office finish typically ranges from 10% to 20%. Suites are typically larger than flex warehouse space. These buildings usually have drive-in bays, dock height bays, or a combination thereof and are used for light manufacturing, services, and small-scale distribution businesses.

Insurable Value

Value used by insurance companies as the basis for insurance. Often considered to be replacement or reproduction cost plus allowances for debris removal or demolition less deterioration and noninsurable items. Sometimes cash value or market value, but often entirely a cost concept. *(MVS)*

Leased Fee Interest

An ownership interest held by a landlord with the rights of use and occupancy conveyed by lease to others. The rights of the lessor (the leased fee owner) and the lessee are specified by contract terms contained within the lease. *(Dictionary)*

Leasehold Interest

The interest held by the lessee (the tenant or renter) through a lease transferring the rights of use and occupancy for a stated term under certain conditions. *(Dictionary)*

Market Rent

The rental income a property would probably command in the open market; indicated by the current rents that are either paid or asked for comparable space as of the date of the appraisal. *(Twelfth Edition)*

Market Value

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

(Definitions Continued)

- buyer and seller are typically motivated;
- both parties are well informed or well advised, and acting in what they consider their best interests;
- a reasonable time is allowed for exposure in the open market;
- payment is made in terms of cash in United States dollars or in terms of financial arrangements comparable thereto; and
- the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale. (*Dictionary; 12 C.F.R. Part 34.42(g); 55 Federal Register 34696, August 24, 1990, as amended at 57 Federal Register 12202, April 9, 1992; 59 Federal Register 29499, June 7, 1994*)

Marketing Time

The time it takes an interest in real property to sell on the market subsequent to the date of an appraisal. Reasonable marketing time is an estimate of the amount of time it might take to sell an interest in real property at its estimated market value during the period immediately after the effective date of the appraisal; the anticipated time required to expose the property to a pool of prospective purchasers and to allow appropriate time for negotiation, the exercise of due diligence, and the consummation of a sale at a price supportable by concurrent market conditions. (*Dictionary*)

Modified Gross Lease

A lease in which the landlord receives stipulated rent and is obligated to pay most, but not all, of the property's operating expenses and real estate taxes. (*Dictionary*)

Net Lease

Generally a lease in which the tenant pays for utilities, janitorial services, and either property taxes or insurance, and the landlord pays for maintenance, repairs, and the property taxes or insurance not paid by the tenant. Also called *single net lease*, *modified gross lease*, and *semi-gross lease*; sometimes used synonymously with *single net lease* but better stated as a *partial net lease* to eliminate confusion. (*Dictionary*)

Net Net Lease

Generally a lease in which the tenant pays for utilities, janitorial services, property taxes, and insurance in addition to the rent, and the landlord pays for maintenance and repairs. Also called *double net lease*, *NN*, *modified gross lease*, and *semigross lease*; sometimes used synonymously with *single net lease* but better stated as a *partial net lease* to eliminate confusion. (*Dictionary*)

Net Net Net Lease

A net lease under which the lessee assumes all expenses of operating a property, including both fixed and variable expenses and any common area maintenance that might apply, but the landlord is responsible for structural repairs. Also called *triple net lease* or *NNN* but better stated as a fully net lease. (*Dictionary*)

Prospective Value Opinion

A forecast of the value expected at a specified future date. A prospective value opinion is most frequently sought in connection with real estate projects that are proposed, under construction, or under conversion to a new use, or those that have not achieved sellout or a stabilized level of long-term occupancy at the time the appraisal report is written. *(Dictionary)*

Rentable Area (RA)

The amount of space on which rent is based, calculated according to local practice. *(Dictionary)*

Replacement Cost

The estimated cost to construct, at current prices as of the effective appraisal date, a building with utility equivalent to the building being appraised, using modern materials and current standards, design and layout. *(Dictionary)*

Reproduction Cost

The estimated cost to construct, at current prices as of the effective date of the appraisal, an exact duplicate or replica of the building being appraised, using the same materials, construction standards, design, layout, and quality of workmanship and embodying all the deficiencies, superadequacies, and obsolescence of the subject building. *(Dictionary)*

Stabilized Occupancy

Occupancy at that point in time when abnormalities in supply and demand or any additional transitory conditions cease to exist and the existing conditions are those expected to continue over the economic life of the property; the optimum range of long term occupancy which an income-producing real estate project is expected to achieve under competent management, after exposure for leasing in the open market for a reasonable period of time at terms and conditions comparable to competitive offerings. *(Dictionary)*

Usable Area

The area available for assignment or rental to an occupant, including every type of usable space; measured from the inside finish of outer walls to the office side of corridors or permanent partitions and from the centerline of adjacent spaces; includes subdivided occupant space, but no deductions are made for columns and projections. *(Dictionary)*

Value As Is

The value of specific ownership rights to an identified parcel of real estate as of the effective date of the appraisal; relates to what physically exists and is legally permissible and excludes all assumptions concerning hypothetical market conditions or possible rezoning. *(Dictionary)*

ECONOMIC SNAPSHOT

Utah County

Select Area
Utah County



Year-to-Year Change in Nonfarm Jobs March 2025

↑ 1,460

↑ 0.5%

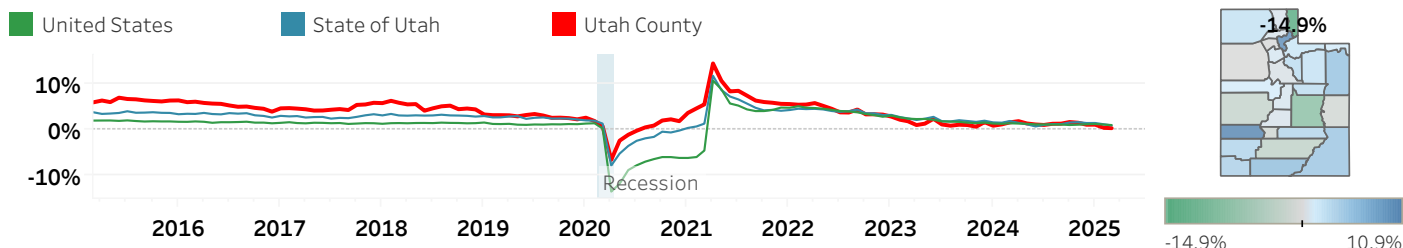
Utah County

↑ 1.1%

State of Utah

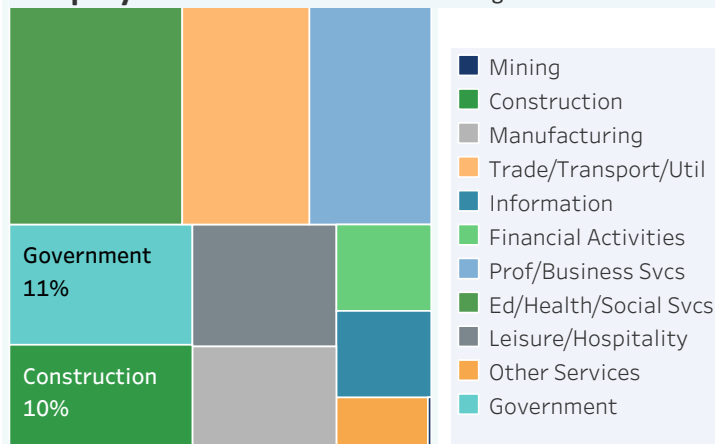
↑ 1.1%

United States



19	Mining	6.8%
561	Construction	1.9%
327	Manufacturing	1.4%
-2,849	Trade/Transport/Util	-6.1%
398	Information	3.2%
-22	Financial Activities	-0.2%
1,170	Prof/Business Svcs	2.6%
2,202	Ed/Health/Social Svcs	3.2%
-912	Leisure/Hospitality	-3.2%
86	Other Services	1.2%
498	Government	1.4%

Employment Share 12 Months ending March 2025**



How's the economy?

Utah County saw slower job growth in the first quarter of 2025 amid weakness in the trade, transportation & utilities sector. However, at 3.3%, the county's July unemployment rate remains in line with that of the state. Construction in the county continues to be strong in 2025, with total construction values up 79% year-to-date, driven by strong nonresidential construction, much of which has been for the construction of industrial, warehousing and manufacturing structures.

Jobs

Utah County grew jobs by just 0.5% over the year ended March 2025 amid a 6.1% decline in trade, transportation and utilities jobs. The sector, which is the second largest industry by employment, shed 2,849 jobs over the year. However, job gains in the education, health & social services and professional & business services sectors offset these declines.

* Preliminary. Source: U.S. Bureau of Labor Statistics; Utah Department of Workforce Services. Updated August 2025, next update November 2025.

jobs.utah.gov/wi/insights/county/utah.html

Gwen Kervin, gkervin@utah.gov

ECONOMIC SNAPSHOT Utah County

Select Area
Utah County



Seasonally Adjusted Unemployment Rate July 2025

3.3%

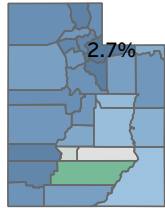
Utah County

3.3%

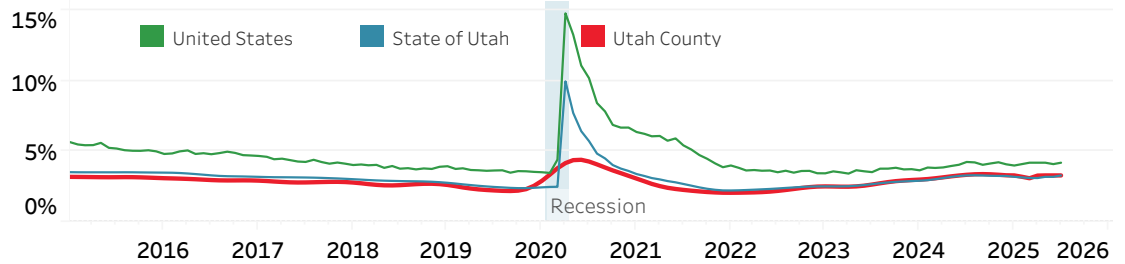
State of Utah

4.2%

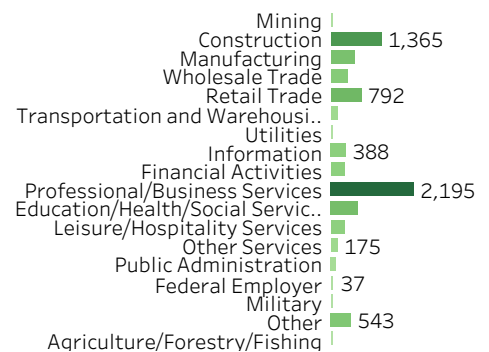
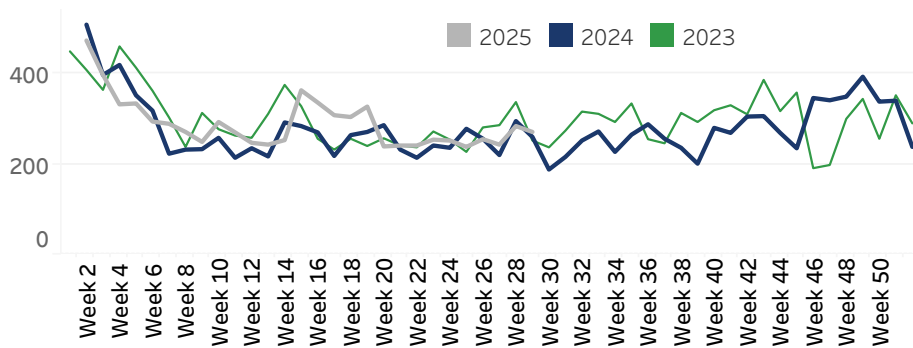
United States



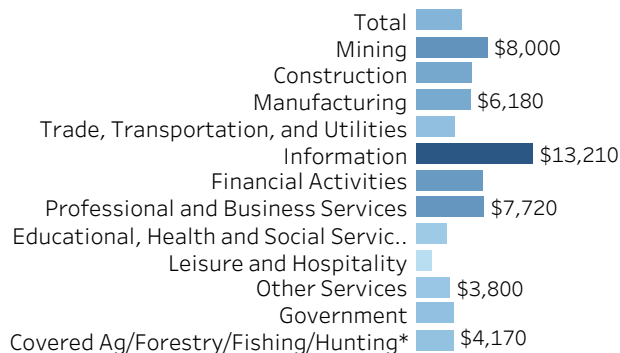
2.7% 7.5%



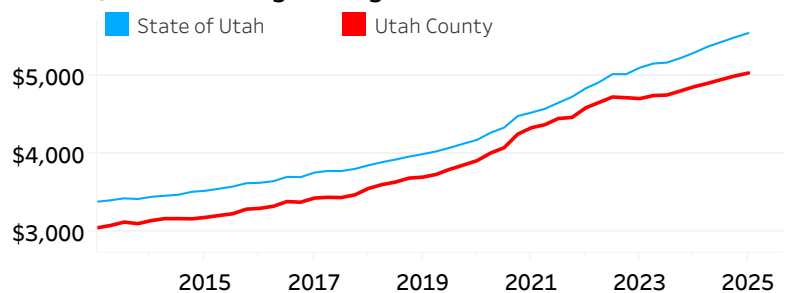
Initial Claims for Unemployment Insurance July 13, 2025 YTD



Average Monthly Wage* First Quarter 2025



Four-Quarter Moving Average



Unemployment & Wages

Utah County's July 2025 unemployment rate came in at 3.3%, in line with that of the state. The county's unemployment rate has hovered around 3.2% and 3.3% throughout 2025. Unemployment rates at these levels still point to strong labor markets. 

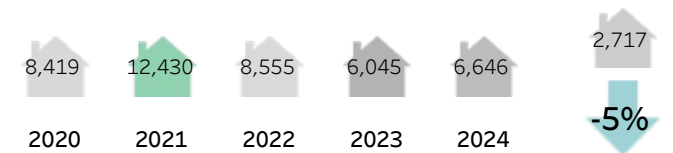
Over the last year, Utah County has averaged 289.3 new unemployment claims per week, a 1% increase over the previous year. In comparison, the State of Utah had a year-over-year decrease in initial unemployment claims of 2%. 

Wage growth in Utah County has lagged that of the state for the past two years. Professional and business services, which accounts for 15% of the county's employment saw average monthly wages decline by 2% over the last year. Trade, transportation and utilities, which reduced industry employment by 6.1% over the last twelve months, had one of the slowest growth rates in wages over the last 12 months, increasing by 1.5%. 

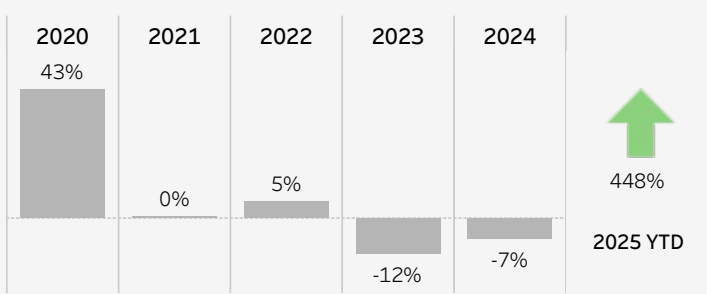
*Preliminary. Source: U.S. Bureau of Labor Statistics and Utah Dept of Workforce Services. Updated August 2025, next update November 2025.

Construction Permitting May 2025 YTD

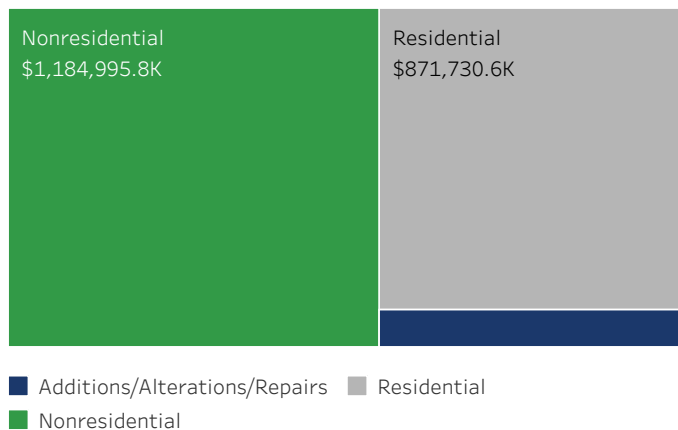
Dwelling Unit Permits



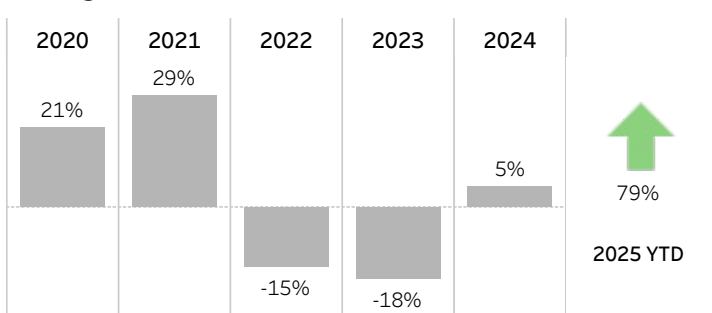
Change in Nonresidential Values



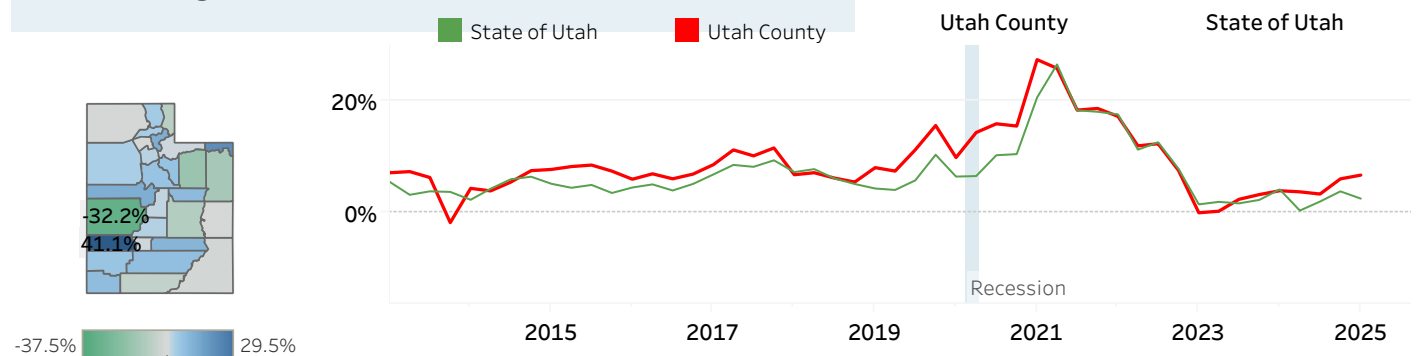
Values to Date



Change in Total Values



Annual Change in Gross Taxable Sales First Quarter 2025



Construction & Sales

Total construction permitting values in Utah County are up 79% year-to-date, buoyed by a 448% increase in nonresidential permitting values. Nonresidential permitting values stand at \$1.2 billion, \$985.7 million of which is for industrial, warehousing and manufacturing construction. 

Taxable sales are up 6.6% in Utah County, surpassing the statewide taxable sales growth rate of 2.4% for the first quarter of 2025. Taxable retail services, which makes up 57% of total taxable sales in the county, grew by 7.1% to 2.5 billion. Amid the retail sector, general merchandise stores and motor vehicle and parts dealers generated the most sales, bringing in \$556.8 million and \$540.4 million, respectively. 

ECONOMIC SNAPSHOT Utah County



Nonfarm Jobs First Quarter 2025*

	January 2025			February 2025			March 2025		
	Total Jobs	Year-Ago Numeric Change	Year-Ago Percent Change	Total Jobs	Year-Ago Numeric Change	Year-Ago Percent Change	Total Jobs	Year-Ago Numeric Change	Year-Ago Percent Change
TOTAL	310,363	3,777	1.2%	311,225	1,664	0.5%	311,940	1,460	0.5%
GOODS PRODUCTION	54,093	1,537	2.9%	53,860	1,040	2.0%	54,186	907	1.7%
Mining	283	28	11.0%	281	20	7.7%	299	19	6.8%
Construction	29,811	906	3.1%	29,669	595	2.0%	29,987	561	1.9%
Manufacturing	23,999	603	2.6%	23,910	425	1.8%	23,900	327	1.4%
SERVICE PRODUCTION	256,270	2,240	0.9%	257,365	624	0.2%	257,754	553	0.2%
Trade/Transport/Util	44,643	-2,134	-4.6%	44,298	-2,601	-5.5%	44,001	-2,849	-6.1%
Wholesale Trade	6,712	-440	-6.2%	6,751	-459	-6.4%	6,742	-377	-5.3%
Retail Trade	32,358	-1,357	-4.0%	32,061	-1,792	-5.3%	31,888	-1,965	-5.8%
Transportation/Warehousing	5,050	-346	-6.4%	4,979	-349	-6.6%	4,865	-504	-9.4%
Utilities	523	9	1.8%	507	-1	-0.2%	506	-3	-0.6%
Information	13,136	485	3.8%	13,107	530	4.2%	12,998	398	3.2%
Financial Activities	12,197	-259	-2.1%	12,275	-97	-0.8%	12,334	-22	-0.2%
Finance and Insurance	8,376	-281	-3.2%	8,423	-148	-1.7%	8,486	-44	-0.5%
Real Estate and Rental/Leasing	3,821	22	0.6%	3,852	51	1.3%	3,848	22	0.6%
Prof/Business Svcs	45,507	1,156	2.6%	45,370	725	1.6%	45,911	1,170	2.6%
Professional/Sci/Tech Svcs	25,721	198	0.8%	25,888	361	1.4%	25,809	329	1.3%
Management of Companies	3,178	378	13.5%	3,193	373	13.2%	3,181	266	9.1%
Admin Support/Waste Mgt	16,608	580	3.6%	16,289	-9	-0.1%	16,921	575	3.5%
Ed/Health/Social Svcs	69,118	2,435	3.7%	70,284	2,079	3.0%	70,548	2,202	3.2%
Educational Services	30,132	1,389	4.8%	31,110	1,234	4.1%	31,449	1,501	5.0%
Health Care/Social Services	38,986	1,046	2.8%	39,174	845	2.2%	39,099	701	1.8%
Leisure/Hospitality	27,316	-498	-1.8%	27,491	-680	-2.4%	27,580	-912	-3.2%
Arts/Entertainment/Recreation	4,020	9	0.2%	4,034	-12	-0.3%	3,977	-204	-4.9%
Accommodation/Food Services	23,296	-507	-2.1%	23,457	-668	-2.8%	23,603	-708	-2.9%
Other Services	7,406	89	1.2%	7,475	64	0.9%	7,497	86	1.2%
Government	36,946	967	2.7%	37,064	605	1.7%	36,884	498	1.4%
Federal	1,113	-9	-0.8%	1,111	-18	-1.6%	1,108	-9	-0.8%
Local	25,814	717	2.9%	25,864	392	1.5%	25,650	316	1.2%
State	10,019	259	2.7%	10,089	231	2.3%	10,126	191	1.9%
Unclassified	1	-1	-50.0%	1	-1	-50.0%	1	-18	-94.7%
Covered Agriculture*	1,073	41	4.0%	1,113	19	1.7%	1,115	-42	-3.6%
Private	273,417	2,810	1.0%	274,161	1,059	0.4%	275,056	962	0.4%

*Preliminary: Source: Utah Department of Workforce Services. Updated August 2025, next update November 2025.

Chapter 14.21B

DT2 – DOWNTOWN CORE

Sections:

- 14.21B.010 Purpose and Objectives.**
- 14.21B.020 Location of Zone.**
- 14.21B.030 Permitted Uses.**
- 14.21B.040 Prior Created Lots.**
- 14.21B.050 Lot Standards.**
- 14.21B.060 Yard Requirements.**
- 14.21B.070 Building Height.**
- 14.21B.080 Minimum and Average Residential Unit Size.**
- 14.21B.090 Minimum Habitable Main Floor Depth.**
- 14.21B.100 Facade Step-back.**
- 14.21B.110 Projections.**
- 14.21B.120 Distance Between Buildings.**
- 14.21B.130 Project Plan Approval.**
- 14.21B.140 Parking, Loading, and Access.**
- 14.21B.150 Landscaping and Recreational Amenities.**
- 14.21B.160 Design Standards.**
- 14.21B.170 Signs.**
- 14.21B.180 Trash Storage and Location.**
- 14.21B.190 Walls and Fences.**
- 14.21B.200 Notice of Parking and Occupancy Restrictions.**

14.21B.010 Purpose and Objectives.

The Downtown Core (DT2) zone is established to provide an identifiable and visible pedestrian-friendly, regional urban core that is located around key transportation corridors and other regional land uses in the central part of the city. The physical environment of the area is defined through scale, mass, placement and form of individual structures and their relationship to each other and to the public realm. This area will clearly be identifiable as the center of the city by having the largest scale of building height and mass as well as a higher density of mixed uses not found in surrounding downtown zones. The DT2 zone is characterized by, clean, well-lighted streets, ample pedestrian ways, well-maintained shops, stores, offices, regional government buildings, with a mixed-use design.

(Enacted 2010-31)

14.21B.020 Location of Zone.

The Downtown Core (DT2) zone shall generally be located in the historic center of Provo and shall be surrounded completely by the less intensive General Downtown (DT1) zone. The DT2 zone shall not directly abut any R1 or RC zone and shall only expand to the degree that the DT1 zone, or any other appropriate commercial zone, may appropriately act as a buffer between the DT2 zone and any R1 or RC zone. The DT2 zone shall have no minimum area requirement.

(Enacted 2010-31)

14.21B.030 Permitted Uses.

- (1) Those uses or categories of uses as listed herein, and no others, are permitted in the DT2 zone.
- (2) All uses contained herein are listed by number as designated in the Standard Land Use Code published and maintained by the Planning Commission. Specific uses are identified by a four (4) digit number in which all digits are whole numbers. Classes or categories of such uses permitted within the zone are identified by a four (4) digit number in which the last one (1) or two (2) digits are zeros (0).
- (3) All such categories listed herein and all specific uses contained within them in the Standard Land Use Code will be permitted in the DT2 zone, subject to the limitations set forth.
- (4) *First Floor Commercial.* Nonresidential uses are required in the minimum habitable floor depth on the first story of all building frontage on University Avenue and Center Street within the district.
- (5) *Permitted Principal Uses.* The following principal uses and structures, and no others, are permitted in the DT2 zone:

Use No.	Use Classification
1110	One-family dwelling, attached to commercial or other nonresidential use – (detached only if existing as of July 7, 2009)
1120	Two-family dwelling, attached to commercial or other nonresidential use – (detached only if existing as of July 7, 2009)
1130	Multiple family dwelling (three (3) or four (4) dwelling units), attached to commercial or other nonresidential use

Use No.	Use Classification
1140	Apartments (low rise)
1150	Apartment (high rise)
1211	Batching apartments (maximum of six (6) individuals per unit)
1220	Membership lodging
1241	Assisted living facility (subject to the locational and development standards as set forth in Section 14.34.470 , Provo City Code)
1250	Religious quarters
1291	Residential facility for elderly persons (see Section 14.34.230 , Provo City Code)
1292	Residential facility for persons with a disability (see Section 14.34.230 , Provo City Code)
1511	Hotels
1512	Motels
1516	Bed and breakfast
1590	Other transient lodgings, NEC
2181	Breweries (only when attached and ancillary to a restaurant)
4118	Railroad company office not located at terminal (office only, no storage of related vehicles or equipment is permitted)
4218	Bus company offices not located at terminal (office only, no storage of related vehicles or equipment is permitted)
4318	Airline company offices not located at terminal (office only, no storage of related vehicles is permitted)
4290	Motor vehicle transportation (indoors only)

Use No.	Use Classification
4295	Parcel delivery and pickup service
4700	Communications (except 4715)
4811	Electric transmission right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)
4815	Electric utility company office (office only, no storage of related vehicles is permitted)
4821	Gas pipeline right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)
4825	Gas company office
4831	Water pipeline right-of-way (identifies areas where the surface is devoted exclusively to the right-of-way of the activity)
4835	Irrigation distribution channels
4837	Water utilities or irrigation company office
4841	Sewage pipeline right-of-way (identifies areas where surface is devoted exclusively to right-of-way activity)
4853	Refuse disposal company office
4862	Gas and electric utility company office
4863	Water and electric utility company office
4864	Combination utilities right-of-way (identifies areas where surface is devoted exclusively to right-of-way activity)
4873	Storm drain or right-of-way (predominantly covered pipes or boxes)
4923	Travel agencies

Use No.	Use Classification
5220	Heating and plumbing equipment (no outside storage)
5230	Paint, glass, and wallpaper
5240	Electrical supplies
5251	Hardware
5254	Janitorial supplies
5255	Building maintenance supplies
5256	Swimming pool supplies
5311	Department stores (includes major and junior chain department stores)
5312	Discount department stores
5320	Mail and phone order houses
5330	Variety stores
5340	Merchandise vending machine operators
5350	Direct selling organization
5390	Retail trade - general merchandise
5400	Food stores (groceries, meats and fish, fruits and vegetables, candy, nuts, dairy products, bakeries, etc.)
5511	Automobile dealers, new and used cars
5512	Automobile dealers, used cars
5594	Motor scooters or motorcycles
5600	Apparel and accessories
5700	Furniture, home furnishings, and equipment
5810	Eating places (restaurants)
5910	Drug and proprietary stores
5930	Antiques and secondhand merchandise (except 5935 Secondhand auto parts, 5938 Junk dealers and salvage, 5939 Secondhand stores)

Use No.	Use Classification
5940	Books, stationery, art, and hobby supplies
5950	Sporting goods, bicycles, and toys
5969	Garden supplies
5970	Jewelry
5990	Miscellaneous retail stores (includes florists, newspapers and magazines, photo supplies, pet stores, and other similar retail stores) (except 5992 Cigars and cigarettes)
6100	Banks, insurance, and real estate (except 6123 Pawnbrokers, 6124 Bail bonds, and 6129 Other credit services)
6200	Personal services - including laundry, photography, beauty and barber services, clothing repair, etc. (except 6294 Escort services and 6295 Tattooing)
6300	Business services (office and retail sales only, including 6394 Equipment rentals and 6397 Automobile rentals (indoors only), except 6370 Warehousing and Storage, 6382 Auction yards)
6420	Electrical appliance repair and service
6493	Watch and clock repair
6494	Reupholstering and furniture repair
6496	Locksmiths and key shops
6497	Gunsmiths
6498	Saw, knife, and tool sharpening
6499	Other repair services, NEC (except blacksmiths)
6500	Professional services (except 6515 Behavior, drug and alcohol treatment;

Use No.	Use Classification
	6518 Blood banks; and 6550 Data processing services)
6600	Contract construction services (office only)
6710	Executive, legislative, and judicial functions (no repair or maintenance facilities)
6720	Protective functions and related activities
6730	Postal services
6800	Educational services
6910	Religious activities
7100	Cultural activities (except 7124 Zoos)
7210	Entertainment and assembly including legitimate theater
7230	Public assembly
7391	Coin-operated amusements
7397	Billiards and pool halls
7398	Video rental shops
7399	Other amusements, NEC (bike rentals only)
7600	Park

(6) *Permitted Accessory Uses.* Accessory uses and structures are permitted in the DT2 zone provided they are incidental to, and do not substantially alter the character of the permitted principal use or structure. Such permitted accessory uses and structures include, but are not limited to, the following:

- (a) Swimming pools and incidental bath houses subject to the standards of Section [14.34.210](#), Provo City Code, Swimming Pools;
- (b) Storage of materials used for construction of a building, including the contractor's temporary office, provided that such use be located on the building site or immediately adjacent thereto, and provided further that such use shall be permitted only during the construction period and thirty (30) days thereafter;
- (c) Vegetable and flower gardens;

- (d) Home occupations subject to the regulations of Chapter [14.41](#) – Home Occupations; and
- (e) Household pets, provided that no more than two (2) dogs and two (2) cats six (6) months of age or older shall be kept at any residence or commercial establishment at any time. Nothing herein shall be construed as authorizing the keeping of any animal capable of inflicting harm or discomfort or endangering the health and safety of any person or property.
- (7) *Uses Within Buildings.* All uses established in the DT2 zone shall be conducted entirely within a fully-enclosed building except those uses deemed by the Planning Commission, through the granting of a conditional use permit, to be customarily and appropriately conducted in the open. Uses customarily deemed to be conducted in the open may include, but would not be limited to public assembly, live entertainment, etc. Open storage within view of a public street or space shall be prohibited.
- (8) Sidewalk cafes shall be permitted per the requirements of Section [14.34.480](#).
- (9) Canopies and marquees shall be permitted per the requirements of Section [14.34.490](#).
- (10) *Conditional uses.* The following uses and structures are permitted in the DT2 zone only after a conditional use permit has been issued, and subject to the terms and conditions thereof and the standards of Section [14.34.250](#), Provo City Code:
- | | |
|------|---|
| 4600 | Automobile parking (except 4603 Long term storage of autos, trucks, boats, vacation trailers, etc.) (Automobile parking lots fronting Center Street shall not be permitted) |
| 4715 | Communications, low power radio communication towers and antennas |
| 4814 | Electricity regulating substations |
| 4824 | Gas pressure control stations |
| 4834 | Water storage as part of a utility system (covered including water storage standpipes) |
| 4836 | Water pressure control stations and pumping plants |
| 4844 | Sewage pumping stations |
| 5920 | Liquor, package |
| 6515 | Behavior, drug & alcohol treatment |
| 6900 | Miscellaneous service organizations |
| 7396 | Dance halls |

(Enacted 2010-31, Am 2020-03, Am 2020-53, Am 2025-52)

14.21B.040 Prior Created Lots.

Existing lots or parcels of land that do not meet the minimum lot standards found in Section [14.21B.050](#) may not obtain a building permit without approval of a conditional use permit. A conditional use permit may only be issued if the proposed project meets the conditions outlined in Section [14.02.040\(2\)](#), in addition to the following:

- (a) The applicant has demonstrated that consolidation of property to meet the minimum lot requirements is not feasible due to surrounding projects, developments, or buildings;
- (b) Requiring a development that meets the minimum lot requirements would result in a project that would be inconsistent with the characteristics of the surrounding area or with the established pattern of the existing buildings; and
- (c) The applicant has demonstrated that the property can be developed to comply with the purposes and requirements of this title without further need of variances or exceptions.

(Enacted 2010-31)

14.21B.050 Lot Standards.

Lots within the DT2 Zone shall be developed according to the following:

- | | |
|---------------------------|--------------------|
| (1) Minimum Lot Area: | 20,000 square feet |
| (2) Minimum Lot Width: | 90 feet |
| (3) Minimum Lot Depth: | 90 feet |
| (4) Minimum Lot Frontage: | 90 feet |
| (5) Maximum Lot Coverage: | No requirement |

(Enacted 2010-31)

14.21B.060 Yard Requirements.

Yards shall be provided according to the following:

Yard	Minimum	Maximum
(1) Front Yard:	0 feet	10 feet
(2) Side Yard:	0 feet	10 feet
(3) Street Side:	0 feet	10 feet
(4) Rear:	0 feet	No requirement
(5) Driveway Access:	16 feet	24 feet
(6) Clear Vision Area:	See Section 14.34.100 – Clear Vision – Corner Lots.	

(7) Side Yard Functions: Side yards on primary streets may only be used for pedestrian access to a building or rear portion of a lot.

(8) Courtyards: Front yards may be extended beyond maximum setback limitations for a public space upon recommendation by the Design Review Committee and the City Engineer. In determining the appropriateness of the courtyard, the approving body shall make the following findings in addition to the conditional use permit criteria:

- (a) That the proposed courtyard will serve a legitimate public purpose;
- (b) That the design of the courtyard enhances the public realm and will reasonably attract activity throughout each day and not on a limited special event basis;
- (c) That the courtyard is not raised more than two feet above street sidewalk grade;
- (d) That landscaping or other elements do not obscure more than twenty-five per cent (25%) of the street view into the setback; and
- (e) Minimum habitable floor area required by section [14.21B.090](#) shall be provided along the increased courtyard.

(9) Valet Drive: A driveway access is permitted for hotels and theaters within the required yards for vehicular access and valet services according to the following:

- (a) Traffic shall be one-way;
- (b) No parking shall be permitted within the courtyard;
- (c) Driveways shall be no wider than twenty (20) feet;
- (d) The outside radius of the driveway shall be no greater than forty (40) feet;
- (e) The space between ingress and egress driveways shall be landscaped;

- (f) That it is not located on Center Street or University Avenue; and
- (g) Minimum habitable floor area required by section [14.21B.090](#) shall be provided along the increased setback.

(Enacted 2010-31)

14.21B.070 Building Height.

Building height, measured from the top of the street curb, shall be determined by the following:

- (1) Total Maximum Building Height: 180 feet
- (2) Minimum Number of Building Stories: 3 stories
- (3) Maximum Parapet/Cornice Height: 5 feet
- (4) Commercial.
 - (a) Maximum Main Floor Elevation: 1 foot above curb
 - (b) Minimum First Story Height: 14 feet floor to ceiling
 - (c) Maximum First Story Height: 20 feet floor to ceiling
 - (d) Maximum Upper Story Height: 14 feet
- (5) Residential.
 - (a) Maximum Main Floor Elevation: 3 feet above curb
 - (b) Minimum First Story Height: 10 feet floor to ceiling
 - (c) Maximum Story Height: 14 feet

(6) Roof mounted mechanical equipment shall be permitted so long as it is completely screened behind an architectural feature of the primary structure.

(7) Section [14.34.090](#), Provo City Code, Height Limitations and Exceptions, shall be adhered to within the DT2 zone.

(Enacted 2010-31, Am 2015-20)

14.21B.080 Minimum and Average Residential Unit Size.

Each development that includes a residential use shall provide a minimum unit size of no less than five hundred (500) square feet and a minimum average unit size of no less than eight hundred (800) square feet. This requirement shall not apply to institutional housing units (i.e., elderly housing, assisted living facilities, etc.).

(Enacted 2017-15)

14.21B.090 Minimum Habitable Main Floor Depth.

(1) Each structure in the DT2 zone fronting a public street shall have a minimum habitable main floor depth of thirty (30) feet along the entire street frontage yard line other than for permitted side yards and driveway approaches. Structured parking shall not be permitted above the minimum habitable floor area along primary streets.

(2) In the case of a corner lot that abuts two (2) primary streets, driveway access to the property may be permitted from one (1) of the primary street frontages subject to approval by the City Engineer and the Design Review Committee.

(Enacted 2010-31)

14.21B.100 Facade Step-back.

(1) Each floor located above the sixth story shall step-back fifteen (15) feet from the first story building facade elevation adjacent to any street. An architectural expression line, such as a cornice or similar feature, shall be used at the fourth story roof line.

(Enacted 2010-31)

14.21B.110 Projections.

(1) The following structures may be erected on or project into a required yard provided it does not obstruct a required driveway:

- (a) Fences and walls in conformance with the Provo City Code;
- (b) Landscaping elements including trees, shrubs, and other planting materials;
- (c) Necessary appurtenances for utility services with property-impact protection if located adjacent to driveway areas.

- (2) Buildings may project over required driveways provided that a minimum of (10) feet of clearance is provided for vehicular access.
- (3) Signs may project into a street right-of-way as permitted by Section [14.38.105](#) - Signs.
- (4) Marquees and canopies may project into the street right-of-way under the provisions of Section [14.34.490](#).
- (5) Balconies may project into the street right-of-way a maximum of five feet so long as a minimum of 10 feet of vertical clearance is provided between the sidewalk and the projecting balcony.

(Enacted 2010-31)

14.21B.120 Distance Between Buildings.

No requirement except as regulated by the provisions of the adopted version of the International Building Code.

(Enacted 2010-31)

14.21B.130 Project Plan Approval.

See Sections [15.03.300](#) and [15.03.310](#), Provo City Code.

(Enacted 2010-31)

14.21B.140 Parking, Loading, and Access.

- (1) Each lot or parcel in the DT2 zone shall provide a minimum of seventy-five percent (75%) of the required off-street parking as set forth in Chapter [14.37](#), Provo City Code.
- (2) Residential parking may be reduced to one (1) space per unit for one (1) bedroom units and to one and one-quarter (1 1/4) spaces for units with two (2) or more bedrooms subject to Planning Commission approval of a Transportation Demand Management (TDM) program as described in Section [14.37.050\(2\)](#), Provo City Code.
- (3) Existing structures on properties described in Subsection [\(3\)\(a\)](#) of this Section shall not be required to provide any new off-street parking due to a change in use so long as the building is not being expanded.
 - (a) The above parking exception in Subsection [\(3\)](#) of this Section shall apply to properties that front Center Street between 500 West and 100 East, and properties that front University Avenue between Center Street and 300 North.
- (4) *Parking Design.* Parking shall be designed to the requirements of Section [14.37.100](#), Provo City Code.

(a) Surface parking shall not be provided within thirty (30) feet of a front or street side yard property line of any property adjacent to a primary street. Surface parking is not permitted within the first six (6) feet of properties fronting secondary streets and must be separated from the street by a six (6) foot wide berm that is a minimum of twenty-four (24) inches in height.

(Enacted 2010-31, Am 2017-09, Am 2021-33, Am 2023-22)

14.21B.150 Landscaping and Recreational Amenities.

- (1) Landscaping meeting the guidelines of Chapter [15.20](#) (Development Landscaping Requirements), Provo City Code, shall be required for all yards and open areas not used for vehicular parking or access.
- (2) In any new project consisting of twenty (20) or more residential units, an area equivalent to ten percent (10%) of the residential gross floor area must be developed as recreational amenities in accordance with the requirements set forth in Section [14.34.330](#), Provo City Code. Landscaping in front and street side yards, the fifteen (15) foot minimum facade setback, and other required areas (such as distance provisions required by the International Building Code) shall not be calculated towards meeting this provision. Only fifty percent (50%) of the required recreational amenity space may be located outdoors at the ground floor level. The open space must be massed or accumulated to be functional as a recreational amenity or gathering space.

(Enacted 2010-31, Am 2022-07, Am 2025-15)

14.21B.160 Design Standards.

- (1) Design standards detailed in Section [14.34.295](#) – Downtown Development Design Standards, shall apply to the DT2 zone.
- (2) The standards set forth in Section [14.34.300](#) – Transitional Development Standards, shall not apply in the DT2 zone.

(Enacted 2010-31)

14.21B.170 Signs.

- (1) Signs shall be regulated by [14.38.105](#) – Signs Permitted in the Downtown (DT) Zones.

(Enacted 2010-31)

14.21B.180 Trash Storage and Location.

All trash storage areas shall be designed according to the standards of Section [14.34.080](#) – Trash Storage except the following provisions shall prevail:

- (1) Trash storage container enclosures shall not be located between a building and any primary or secondary street right-of-way. A conditional use permit under the provisions of Section [14.34.080](#) cannot be issued to allow trash storage within a front or street side yard.
- (2) Trash storage containers shall be located behind a principal building (accessed via a driveway, alley or other internal block right-of-way). If this is not possible due to site constraints, trash storage containers may be enclosed within a required habitable floor area on secondary streets, if:
 - (a) It is completely enclosed within the building; and
 - (b) A one hundred per cent (100%) opaque lockable garage door or other equivalent, that measures no more than ten (10) feet in width and eight (8) feet in height is provided.

(Enacted 2010-31)

14.21B.190 Walls and Fences.

The following fence heights are permitted within the DT2 zone. Chain link fences are not permitted in the DT2 zone.

- | | |
|-----------------------|--------|
| (1) Front Yard: | 3 feet |
| (2) Street Side Yard: | 3 feet |
| (3) Side Yard: | 6 feet |
| (4) Rear Yard: | 6 feet |

- (5) A decorative masonry wall, at least six feet in height, shall be erected along all property lines which lie adjacent to a R1 or RC zone. In the case where there is mutual agreement between the property owners of the commercial zone and the adjacent residential zone, the masonry wall requirement may be modified to allow other suitable materials. A signed agreement must be submitted to the Planning Commission or its designee, indicating this agreement. In the case where there is not mutual agreement, the masonry wall will be required.

(Enacted 2010-31)

14.21B.200 Notice of Parking and Occupancy Restrictions.

(1) Prior to the issuance of a Certificate of Occupancy for new multiple residential dwelling units a permanent notice must be placed on the electrical box within each unit indicating the maximum allowable occupancy of each unit based on the approved occupancy consistent with the recorded parking and occupancy contract. This notice must be a six (6) by six (6) inch metal or plastic plate that is permanently attached to the electrical box with minimum one half (0.5) inch engraved letters.

(2) Upon submission of these documents any violation to the restrictions and regulations noted therein will be considered a misdemeanor offense and will be subject to criminal action as provided in Section [1.03.010](#), Provo City Code.

(Enacted 2010-31)

The Provo City Code is current through Ordinance 2025-61, passed November 11, 2025.

Disclaimer: The city recorder has the official version of the Provo City Code. Users should contact the city recorder for ordinances passed subsequent to the ordinance cited above.

[City Website: www.provo.gov](http://www.provo.gov)

[City Telephone: \(801\) 852-6000](tel:(801)852-6000)

[Hosted by General Code.](#)

FLOOD MAP

National Flood Hazard Layer FIRMette



LEGAL DESCRIPTION

04:083:0010

COM NW COR BLK 88, PLAT A, PROVO CITY; E 154.42 FT; S 77.64 FT; S 64 DEG 10'E 10 FT; E 48 FT; S 83 FT; W 62.92 FT; N 14.88 FT; W 148.50 FT; N 150.12 FT TO BEG. AREA .64 ACRE.